CFA Level I Mock Exam 8.1 - Mark Scheme

Each question lists the correct choice and the original feedback for all three choices. Source excerpts accompany explanations where equations are PDF artwork.

Question 1

Which of the following actions are in violation of the Standard relating to market manipulation?

Action 1	Securing a dominant position in a financial instrument with an intent to influence the price of a related derivative.
Action 2	Entering large buy and sell trades between multiple proprietary accounts of the firm with the intent to increase trading volume.

Correct answer: C

A. Action 1 only - Incorrect

Incorrect Answer Feedback: Incorrect because Standard II(B), Market Manipulation, precludes transaction-based manipulation such as securing a controlling, dominant position in a financial instrument to exploit and manipulate the price of a related derivative and/or the underlying asset. So, Action 1 violates the Standard. However, Action 2 also violates the Standard as the Standard precludes other transaction-based manipulation such as attempting to buy and sell the stock using the accounts in hopes of raising the trading volume and the price.

B. Action 2 only - Incorrect

Incorrect Answer Feedback: Incorrect because Standard II(B), Market Manipulation, precludes transaction-based manipulation such as attempting to buy and sell the stock using the accounts in hopes of raising the trading volume and the price. So, Action 2 violates the Standard. However, Action 1 also violates the Standard as it precludes transaction-based manipulation such as securing a controlling, dominant position in a financial instrument to exploit and manipulate the price of a related derivative and/or the underlying asset.

C. Both Action 1 and Action 2 - Correct

Correct Answer Feedback: Correct because Standard II(B), Market Manipulation, precludes transaction-based manipulation such as securing a controlling, dominant position in a financial instrument to exploit and manipulate the price of a related derivative and/or the underlying asset. So, Action 1 violates the Standard. Also, the Standard precludes other transaction-based manipulation such as attempting to buy and sell the stock using the accounts in hopes of raising the trading volume and the price. So, Action 2 also violates the Standard.

Question 2

Who can claim compliance with the GIPS standards?

Correct answer: A

A. Firms that manage investment portfolios - Correct

Correct Answer Feedback: Correct because only investment management firms that actually manage assets can claim compliance with the Standards. Therefore, investment firms that only manage investment portfolios and provide brokerage services can claim compliance.

B. Investment consultants that only conduct investment manager due diligence - Incorrect

Incorrect Answer Feedback: Incorrect because plan sponsors and consultants cannot make a claim of compliance unless they actually manage assets for which they are making a claim of compliance. Therefore, investment consultants that only conduct investment manager due diligence cannot claim compliance.

C. Pension plan sponsors that oversee plan funding and do not manage the plan's assets - Incorrect

Incorrect Answer Feedback: Incorrect because plan sponsors and consultants cannot make a claim of compliance unless they actually manage assets for which they are making a claim of compliance. Therefore, pension plan sponsors that only oversee plan funding cannot claim compliance.

Question 3

Victoria Christchurch, CFA, is a management consultant currently working with a financial services firm interested in curtailing its high staff turnover, particularly amongst CFA charterholders. In recent months, the company lost five of its ten most senior managers, all of whom have cited systemic unethical business practices as the reason for their leaving. To curtail staff turnover by encouraging ethical behavior, it would be least appropriate for Christchurch to recommend the company to do which of the following?

Correct answer: B

A. Implement a whistleblowing policy. - Incorrect

Incorrect Answer Feedback: Incorrect as introducing a whistleblowing policy would likely help to build a foundation of strong ethical behavior.

B. Encourage staff retention with increased benefits. - Correct

Correct Answer Feedback: Correct because the offering of increased benefits to encourage staff retention would not necessarily stop the unethical behavior causing staff turnover and would effectively be asking the ethical employees to ignore the unethical behavior, thus being complicit in the behavior. Under Standard I(A)–Knowledge of the Law, CFA charterholders and candidates must disassociate themselves from unethical behavior. As the unethical business practices are seen as systemic, it would likely require them to leave the firm. Implementing a whistleblowing policy and adopting a corporate code of ethics would likely help to build a foundation of strong ethical behavior.

C. Create, implement, and monitor a corporate code of ethics. - Incorrect

Incorrect Answer Feedback: Incorrect as implementing a corporate code of ethics would likely help to build a foundation of strong ethical behavior.

Question 4

Alexandra Smirnov, CFA, is a pension consultant to the Springwell Pension Fund. After reviewing Springwell's 3- year performance presentation showing the fund's underperformance relative to its investment objectives and agreed benchmarks, Smirnov recommends that the fund hire new asset managers. Smirnov proposes that the fund hire Newday Managers on the basis of recent meetings she has had with the firm. Discussions at these meetings focused only on Newday's investment strategy, its suitability to manage pension funds, its ability to adhere to its stated strategy, the firm's historical investment performance, and its adoption of the CFA Institute Code and Standards. Smirnov turned down Newday's offer of an introduction fee when recommending its services, but did not inform Springwell trustees of this offer. Which of the following Standards does Smirnov most likely violate?

Correct answer: C

A. Referral Fees - Incorrect

Incorrect Answer Feedback: Incorrect because Smirnov refused the referral fee, so, according to Standard VI(C), Referral Fees, she did not need to inform her client of this matter. There is also no indication that she did not act with reasonable care and prudent judgment when recommending a change in asset managers to meet the objectives of the client.

B. Loyalty, Prudence, and Care - Incorrect

Incorrect Answer Feedback: Incorrect because there is no indication that she violated Standard III(A), Loyalty, Prudence, and Care, when recommending a change in asset managers to meet the objectives of the client.

C. Diligence and Reasonable Basis - Correct

Correct Answer Feedback: Correct because Smirnov violated Standard V(A), Diligence and Reasonable Basis, because she recommended an external advisor without first understanding the adviser's compliance and internal control procedures. She was correct in seeking to understand the proposed fund manager's code of ethics, quality of performance returns, and ability to adhere to its stated investment strategy, but to complete her work she also needed to perform due diligence about the firm's compliance and internal control procedures.

Question 5

Mike Leung, CFA, is a research analyst at an investment firm. Leung does comprehensive analysis and identifies several stocks that are undervalued. Leung posts a recommended stock list on social media which is accessible to all clients, stating that additional information will be available upon request. Has Leung violated the Standards?

Correct answer: A

A. No - Correct

Correct Answer Feedback: Correct because according to Standard V(B), Communication with Clients and Prospective Clients, if recommendations are contained in capsule form (such as a recommended stock list), members and candidates should notify clients that additional information and analyses are available from the producer of the report. In addition, members and candidates using any social media service to communicate business information must be diligent in their efforts to avoid unintended problems because these services may not be available to all clients. When providing information to clients through new technologies, members and candidates should take reasonable steps to ensure that such delivery would treat all clients fairly and, if necessary, be considered publicly disseminated. Leung posts the recommended stock list on social media, which is accessible to all of his firm's clients, with additional information upon request. Therefore, Leung has not violated Standard V(B).

B. Yes, by posting only a recommended stock list - Incorrect

Incorrect Answer Feedback: Incorrect because according to Standard V(B), Communication with Clients and Prospective Clients, if recommendations are contained in capsule form (such as a recommended stock list), members and candidates should notify clients that additional information and analyses are available from the producer of the report. Leung posts the recommended stock list to all of his firm's clients with additional information upon request. Therefore, Leung has not violated Standard V(B).

C. Yes, by using social media to communicate his recommendations to clients - Incorrect

Incorrect Answer Feedback: Incorrect because according to Standard V(B), Communication with Clients and Prospective Clients, members and candidates using any social media service to communicate business information must be diligent in their efforts to avoid unintended problems because these services may not be available to all clients. When providing information to clients through new technologies, members and candidates should take reasonable steps to ensure that such delivery would treat all clients fairly and, if necessary, be considered publicly disseminated. Because all of Leung's clients have access to the social medium through which Leung communicated, Leung has not violated Standard V(B).

Question 6

Colleen O'Neil, CFA, manages a private investment fund with a balanced global investment mandate. Her clients insist that O'Neil's personal investment portfolio replicate the investments within their portfolio to ensure them that she is willing to put her money at risk. By undertaking which of the following simultaneous investment actions for her own portfolio would O'Neil most likely be in violation of Standard VI(B), Priority of Transactions?

Correct answer: B

A. Sale of a listed US blue chip value stock - Incorrect

Incorrect Answer Feedback: Incorrect because the clients are unlikely to be harmed by the manager also selling a US blue chip value stock in a stable market as the liquidity of the stock is likely to be large enough that a simultaneous sale would not negatively impact on the price of the share.

B. Participation in a popular frontier market IPO - Correct

Correct Answer Feedback: Correct because Standard VI(B), Priority of Transactions, dictates that members and candidates give their clients and employer priority when making personal investment transactions. Even when clients allow or insist the manager invest alongside them, the manager's transactions must never adversely affect the interests of the clients. A popular or "hot" IPO in a frontier market is likely to be oversubscribed. In such cases, Standard VI(B) dictates that the manager should not participate in this event to better ensure that clients would have a higher probability of getting their full subscription allotment, even though clients have allowed or dictated she do so.

C. Purchase of a UK government bond in the primary market - Incorrect

Incorrect Answer Feedback: Incorrect because the volume of UK government bonds offered through a primary market is likely to be large and at a fixed price based on the auction outcome. To comply with the Standards, O'Neil's bid would need to be the same as her clients' bids.

Question 7

All clients of John Chapman, CFA, are standard fee-paying clients. Chapman believes that half of his clients would benefit from premium service in exchange for higher fees. He offers the premium service only to these clients. Later that day, Chapman distributes an investment recommendation only to those clients for whom he deems it suitable. Has Chapman violated the Standard relating to fair dealing?

Correct answer: B

A. No - Incorrect

Incorrect Answer Feedback: Incorrect because according to Standard III(B), Fair Dealing, Chapman should have made the premium service available to all clients as described in the correct response rationale.

B. Yes, by offering the premium service only to clients he believes would benefit from it - Correct

Correct Answer Feedback: Correct because according to Standard III(B), Fair Dealing, the different service levels should be disclosed to clients and prospective clients and should be available to everyone (i.e., different service levels should not be offered selectively). By offering the premium service only to those clients he believes may want them, rather than to all clients, Chapman violates the Standard.

C. Yes, by distributing an investment recommendation only to those clients for whom he deems it suitable - Incorrect

Incorrect Answer Feedback: Incorrect because according to Standard III(B), Fair Dealing, members are not required to distribute investment recommendations to all clients. As it relates to this Standard, the term 'fairly' implies that the member or candidate must take care not to discriminate against any clients when disseminating investment recommendations or taking investment action. Each client has unique needs, investment criteria, and investment objectives, so not all investment opportunities are suitable for all clients.

Question 8

Which of the following can claim compliance with the GIPS standards?

Correct answer: A

A. Only asset owners - Correct

Correct Answer Feedback: Correct because according to the GIPS standards, asset owners may comply with the GIPS standards in the same way as firms if they compete for business. If they don't compete for business but report their performance to an oversight body, asset owners may choose to comply with the GIPS standards for asset owners.

B. Only asset owners and consultants who advise investment funds - Incorrect

Incorrect Answer Feedback: Incorrect because according to the GIPS standards, Consultants cannot make a claim of compliance unless they actually manage assets for which they are making a claim of compliance.

C. Asset owners, consultants who advise investment funds, and software vendors - Incorrect

Incorrect Answer Feedback: Incorrect because according to the GIPS standards, Consultants cannot make a claim of compliance unless they actually manage assets for which they are making a claim of compliance.

Question 9

A member works in Country X, where the securities market regulator requires investment-related records to be maintained for six years. The member publishes his recommendation for a recent AA bond issue that has a maturity of five years. According to the Standards, the member must maintain records of his recommendation for at least:

Correct answer: B

A. 5 years. - Incorrect

Incorrect Answer Feedback: Incorrect because according to the Standard relating to record retention, local regulators often impose requirements on members, candidates, and their firms related to record retention that must be followed. In this case records should be maintained for six years, in accordance with the regulatory requirement. The maturity of the bonds is irrelevant for the record keeping requirement.

B. 6 years. - Correct

Correct Answer Feedback: Correct because according to the Standard relating to record retention, local regulators often impose requirements on members, candidates, and their firms related to record retention that must be followed. In the absence of regulatory guidance or firm policies, CFA Institute recommends maintaining records for at least seven years. In this case records should be maintained for six years, in accordance with the regulatory requirement.

C. 7 years. - Incorrect

Incorrect Answer Feedback: Incorrect because according to the Standard relating to record retention, local regulators often impose requirements on members, candidates, and their firms related to record retention that must be followed. In the absence of regulatory guidance or firm policies, CFA Institute recommends maintaining records for at least seven years, however in this case records should be maintained for six years, in accordance with the regulatory requirement.

Question 10

Milene Fontes, CFA, takes over coverage of a company because the original analyst left the firm before finishing the research report. She adds her own thorough analysis and publishes the report in her name only. Has Fontes violated the Standards?

Correct answer: A

A. No - Correct

Correct Answer Feedback: Correct because according to Standard I(C), Misrepresentation, members and Candidates must not knowingly make any misrepresentations relation to investment analysis, recommendations, actions, or other professional activities. Members or Candidates may use research conducted or models developed by others within the same firm without committing a violation. The most common example relates to the situation in which one (or more) of the original analysts is no longer with the firm.

B. Yes, by using the original analyst's work in the report - Incorrect

Incorrect Answer Feedback: Incorrect because according to Standard I(C), Misrepresentation, members or Candidates may use research conducted or models developed by others within the same firm without committing a violation. The most common example relates to the situation in which one (or more) of the original analysts is no longer with the firm.

C. Yes, by not attributing the report to the original analyst - Incorrect

Incorrect Answer Feedback: Incorrect because according to Standard I(C), Misrepresentation, members or Candidates may use research conducted or models developed by others within the same firm without committing a violation. The most common example relates to the situation in which one (or more) of the original analysts is no longer with the firm. The firm may issue future reports without providing attribution to the prior analysts.

Question 11

According to the Standard relating to loyalty, which of the following statements are correct?

Statement 1	Members must not deprive their employer of the advantage of their skills and abilities.
Statement 2	Members are required to subordinate important personal and family obligations to their work.

Correct answer: A

A. Statement 1 only - Correct

Correct Answer Feedback: Correct because according to Standard IV(A), Loyalty, in matters related to their employment, members and candidates must act for the benefit of their employer and not deprive their employer of the advantage of their skills and abilities, divulge confidential information, or otherwise cause harm to their employer. Statement 2 is incorrect because the standard does not require members and candidates to subordinate important personal and family obligations to their work. Therefore, only Statement 1 is correct.

B. Statement 2 only - Incorrect

Incorrect Answer Feedback: Incorrect because Standard IV(A), Loyalty, does not require members and candidates to subordinate important personal and family obligations to their work.

C. Both Statement 1 and Statement 2 - Incorrect

Incorrect Answer Feedback: Incorrect because Standard IV(A), Loyalty, does not require members and candidates to subordinate important personal and family obligations to their work.

Question 12

David Bravoria, CFA, is an independent financial advisor for a high-net-worth client with whom he had not had contact in more than two years. During a recent brief telephone conversation, the client states that he wants to increase his risk exposure. Bravoria subsequently recommends and invests in several high-risk venture capital funds on behalf of the client. Bravoria continues, as he has done in the past, to send to his client monthly, detailed, itemized investment statements. Did Bravoria most likely violate the Standards?

Correct answer: C

A. No. - Incorrect

Incorrect Answer Feedback: Incorrect because Bravoria violated Standard III(A)–Loyalty, Prudence, and Care.

B. Yes, with regard to investment statements. - Incorrect

Incorrect Answer Feedback: Incorrect because Bravoria provided his client with investment statements more frequently than required, i.e., quarterly.

C. Yes, with regard to purchasing venture capital funds. - Correct

Correct Answer Feedback: Correct because Bravoria violated Standard III(A)–Loyalty, Prudence, and Care as he had not updated his client's profile in more than two years and thus should not have made further investments, particularly in high-risk investments, until such time as he updated the client's risk and return objectives, financial constraints, and financial position. Bravoria provided his client with investment statements more frequently than that which is required, i.e., quarterly, so was not in violation of regular account information.

Question 13

Which of the following are among the recommended procedures that enable members to meet their obligations under the Standard relating to performance presentation?

Procedure 1	Members should include terminated accounts while presenting performance history.
Procedure 2	Members should use a single representative account to present the performance of each investment strategy.

Correct answer: A

A. Procedure 1 only - Correct

Correct Answer Feedback: Correct because members and candidates can also meet their obligations under Standard III(D), Performance Presentation, by including terminated accounts as part of performance history with a clear indication of when the accounts were terminated. Terminated accounts should be included in the performance presentation.

B. Procedure 2 only - Incorrect

Incorrect Answer Feedback: Incorrect because members and candidates can also meet their obligations under Standard III(D), Performance Presentation, presenting the performance of the weighted composite of similar portfolios rather than using a single representative account. A single representative account should not be used.

C. Both Procedure 1 and Procedure 2 - Incorrect

Incorrect Answer Feedback: Incorrect because members and candidates can also meet their obligations under Standard III(D), Performance Presentation, by presenting the performance of the weighted composite of similar portfolios rather than using a single representative account. Single representative accounts should not be used; thus, Procedure 2 is not a recommended procedure.

Question 14

Julia Otkins, CFA, is approached by her friend who works for a charity that is looking for potential donors. Otkins refuses to share the contact details of current clients and only shares the details of one former client. Otkins later learns that one of her existing clients is involved in illegal money laundering. There are no applicable laws relating to client confidentiality and Otkins reports the client to the regulator. Otkins has most likely violated the Standard relating to confidentiality:

Correct answer: B

A. only by reporting the client to the regulator. - Incorrect

Incorrect Answer Feedback: Incorrect because according to Standard III (E), Preservation of Confidentiality, members must keep information about current, former, and prospective clients confidential unless the information concerns illegal activities on the part of the client.

B. only by sharing the contact details of the former client with the charity. - Correct

Correct Answer Feedback: Correct because according to Standard III (E), Preservation of Confidentiality, members must preserve the confidentiality of information communicated to them by their clients, prospective clients, and former clients.

C. both by reporting the client to the regulator and by sharing the contact details of the former client with the charity. - Incorrect

Incorrect Answer Feedback: Incorrect because Otkins only violated Standard III (E), Preservation of Confidentiality, by failing to preserve confidentiality of former clients.

Question 15

Anjuman Khan, CFA, manages the portfolios of several clients. One client offers Khan monetary compensation and another client gives her two tickets to a sold-out football match in appreciation of significantly beating their portfolio benchmarks. Khan accepts both the monetary compensation and the tickets to the football match. She discloses only the monetary compensation to her supervisor by text over the holiday weekend. Has Khan violated the Standard relating to independence and objectivity?

Correct answer: B

A. No - Incorrect

Incorrect Answer Feedback: Incorrect because Standard I(B), Independence and Objectivity requires that, when possible, prior to accepting bonuses or gifts from clients, members and candidates should disclose to their employers such benefits offered by clients. So, Khan is in violation of the Standard as she failed to notify her supervisor about the tickets to the football match received from one of her clients.

B. Yes, because she failed to notify her supervisor of her acceptance of the tickets to the football match - Correct

Correct Answer Feedback: Correct because Standard I(B), Independence and Objectivity requires that, when possible, prior to accepting bonuses or gifts from clients, members and candidates should disclose to their employers such benefits offered by clients. So, Khan is in violation of the Standard as she failed to notify her supervisor about the tickets to the football match received from one of her clients.

C. Yes, because she failed to get prior approval from her supervisor for accepting the monetary compensation - Incorrect

Incorrect Answer Feedback: Incorrect because Standard I(B), Independence and Objectivity requires that, when possible, prior to accepting bonuses or gifts from clients, members and candidates should disclose to their employers such benefits offered by clients. So, Khan is in compliance with the Standard as she has informed her supervisor about the monetary compensation as soon as reasonably possible.

Question 16

Raymond Ortiz, CFA, provides investment advice to high-net-worth investors. Ortiz has just completed an analysis of Continental Wheat, a manufacturer of wheat-based food products. He rated the company a long-term hold for investors seeking growth and income. Ortiz's analysis included a review of the company's management team, financial data, pro forma financial positions, dividends and dividend policy, and a comparison of Continental with its competitors. Although he does not tell anyone, five years ago, Ortiz worked for and managed the commodities derivatives trading unit of Continental. As part of his compensation at Continental, he received stock, which he still owns. Based upon his research, Ortiz recommends Continental to clients who have a moderate risk tolerance. Two weeks later Continental announces its quarterly earnings are 30% less than a year ago. Consequently, shares of Continental drop by 50%. Ortiz most likely violated the CFA Institute Code of Ethics and Standards of Professional Conduct related to his stock:

Correct answer: B

A. research. - Incorrect

Incorrect Answer Feedback: Incorrect because the analyst's actions were consistent with Standard V(A), Diligence and Reasonable Basis, because he did complete a well-informed investment recommendation. Analysis of an investment that results in a reasonable basis for recommendation does not guarantee the investment will have no downside risk.

B. ownership. - Correct

Correct Answer Feedback: Correct because there is a violation of Standard VI(A), Avoid or Disclose Conflicts. The analyst worked for Continental and still has ties to the company in the form of his stock ownership.

C. recommendation. - Incorrect

Incorrect Answer Feedback: Incorrect because the analyst's actions were consistent with Standard V(A), Diligence and Reasonable Basis, because he did complete a well-informed investment recommendation. Analysis of an investment that results in a reasonable basis for recommendation does not guarantee the investment will have no downside risk.

Question 17

After completing Level I of the CFA exam, Vidhan Raman posts comments on an online forum for CFA Program candidates. Which of the following comments violate the Standard relating to conduct as participants in CFA Institute programs?

Comment 1	This exam was more challenging than I expected.
Comment 2	Make sure you study GIPS standards because there were several questions on that topic.

Correct answer: B

A. Comment 1 only - Incorrect

Incorrect Answer Feedback: Incorrect because Standard VII(A) does not cover expressing opinions regarding CFA Institute, the CFA Program, or other CFA Institute programs. Members and candidates are free to disagree and express their disagreement with CFA Institute on its policies, its procedures, or any advocacy positions taken by the organization. So, Comment 1 does not violate the Standard as it reflects Raman's opinion.

B. Comment 2 only - Correct

Correct Answer Feedback: Correct because according to Standard VII(A), Conduct as Participants in CFA Institute Programs, when expressing a personal opinion, a candidate is prohibited from disclosing content-specific information, including any actual exam question and the information as to subject matter covered or not covered in the exam. In making Comment 2, Raman may have provided information on the subject matter covered and hence violated the Standard.

C. Both Comment 1 and Comment 2 - Incorrect

Incorrect Answer Feedback: Incorrect because Standard VII(A) does not cover expressing opinions regarding CFA Institute, the CFA Program, or other CFA Institute programs. Members and candidates are free to disagree and express their disagreement with CFA Institute on its policies, its procedures, or any advocacy positions taken by the organization. So, Comment 1 does not violate the Standard as it reflects Raman's opinion. However, in making Comment 2, Raman may have provided information on the subject matter covered on the exam and hence violated the Standard.

Question 18

Do the following actions by a member violate the Standards?

Action 1	Declaring personal bankruptcy because of a large loss from investing in a startup company
Action 2	Providing well-informed investment advice that results in losses to clients

Correct answer: A

A. No - Correct

Correct Answer Feedback: Correct because according to Standard I(D), Misconduct, the Code and Standards are primarily aimed at conduct and actions related to a member's or candidate's professional life. Personal bankruptcy may not reflect on the integrity or trustworthiness of the person declaring bankruptcy, but if the circumstances of the bankruptcy involve fraudulent or deceitful business conduct, the bankruptcy may be a violation of this standard. Therefore, Action 1 is not a violation of Standard I(D). In addition, according to Standard V(A), Diligence and Reasonable Basis, even though an investment recommendation may be well informed, downside risk remains for any investment. Members and candidates can base their decisions only on the information available at the time decisions are made. The steps taken in developing a diligent and reasonable recommendation should minimize unexpected downside events. Therefore, Action 2 is not a violation of Standard V(A), Diligence and Reasonable Basis.

B. Yes, because of Action 1 only - Incorrect

Incorrect Answer Feedback: Incorrect because according to Standard I(D), Misconduct, the Code and Standards are primarily aimed at conduct and actions related to a member's or candidate's professional life. Personal bankruptcy may not reflect on the integrity or trustworthiness of the person declaring bankruptcy, but if the circumstances of the bankruptcy involve fraudulent or deceitful business conduct, the bankruptcy may be a violation of this standard. Therefore, Action 1 is not a violation of Standard I(D).

C. Yes, because of both Action 1 and Action 2 - Incorrect

Incorrect Answer Feedback: Incorrect because neither Action 1 nor Action 2 violate the Standards, as explained in the justification for the correct answer.

Question 19

According to the Standard relating to responsibilities of supervisors, examining the firm's incentive structure to determine whether the structure encourages profits and returns at the expense of ethically appropriate conduct is the responsibility of:

Correct answer: C

A. the firm only. - Incorrect

Incorrect Answer Feedback: Incorrect because according to Standard IV (C), Responsibilities of Supervisors, this is the responsibility of the supervisor and the firm, as described in the response rationale for the correct answer.

B. the supervisor only. - Incorrect

Incorrect Answer Feedback: Incorrect because according to Standard IV (C), Responsibilities of Supervisors, this is the responsibility of the supervisor and the firm, as described in the response rationale for the correct answer.

C. both the firm and the supervisor. - Correct

Correct Answer Feedback: Correct because according to Standard IV (C), Responsibilities of Supervisors, supervisors and firms must look closely at their incentive structure to determine whether the structure encourages profits and returns at the expense of ethically appropriate conduct.

Question 20

Preeta Singh, a CFA Program candidate, is an asset manager employed by a fund management company, which manages very large segregated pension funds. In her spare time outside of working hours, Singh likes to provide strategic planning consulting services to small companies to help grow their businesses. Singh is paid for the consulting services and has also provided her employer information about these outside activities. Has Singh violated the Standards?

Correct answer: A

A. No - Correct

Correct Answer Feedback: Correct because Singh does not violate the Standards. She conducts unrelated non-competitive services to clients outside of business hours and thus does not deprive her employer of the advantage of her skills and abilities, nor is there any indication that she divulges confidential information or otherwise causes harm to her employer. She also does not need to divulge information relating to her additional compensation or to seek permission, as her management consulting services do not create a conflict of interest with her employer's interest.

B. Yes, the Standard relating to loyalty - Incorrect

Incorrect Answer Feedback: Incorrect because Singh conducts unrelated non-competitive services to clients outside of business hours and thus does not deprive her employer of the advantage of her skills and abilities, nor is there any indication that she divulges confidential information or otherwise causes harm to her employer.

C. Yes, the Standard relating to additional compensation arrangements - Incorrect

Incorrect Answer Feedback: Incorrect because she does not need to divulge information relating to her additional compensation or to seek permission, as her management consulting services do not create a conflict of interest with her employer's interest.

Question 21

One of the key challenges to ethical behavior are situational influences, which include:

Correct answer: B

A. personality traits. - Incorrect

Incorrect Answer Feedback: Incorrect because situational influences are external factors, such as environ- mental or cultural elements, that shape our thinking, decision making, and behavior. By contrast, overconfidence bias leads us to place too much importance on internal traits and intrinsic motivations.

B. cultural elements. - Correct

Correct Answer Feedback: Correct because situational influences are external factors, such as environmental or cultural elements, that shape our thinking, decision making, and behavior. By contrast, overconfidence bias leads us to place too much importance on internal traits and intrinsic motivations.

C. intrinsic motivations. - Incorrect

Incorrect Answer Feedback: Incorrect because situational influences are external factors, such as environmental or cultural elements, that shape our thinking, decision making, and behavior. By contrast, overconfidence bias leads us to place too much importance on internal traits and intrinsic motivations.

Question 22

Merchant Capital Partners, a regional investment bank, acts as a market maker for Vital Link Health Services and other small firms listed on an over-the-counter exchange. For those shares for whom Merchant acts as market maker, it trades for its own book as well as engaging in risk arbitrage trading. Merchant allows staff members to trade in shares once clients and the company have traded. Merchant recently obtained material nonpublic information regarding Vital's planned reverse takeover of a publicly listed competitor. In order to be in compliance

with the CFA Institute Code and Standards, which type of trading in Vital shares should Merchant least likely suspend?

Correct answer: C

A. Personal - Incorrect

Incorrect Answer Feedback: Incorrect because when in possession of material nonpublic information, Standard II(A), Material Nonpublic Information, requires personal trading to be suspended.

B. Risk arbitrage - Incorrect

Incorrect Answer Feedback: Incorrect because when in possession of material nonpublic information, according to Standard II(A), Material Nonpublic Information, it is prudent to suspend arbitrage trading to prevent profits from insider trading.

C. Passive proprietary - Correct

Correct Answer Feedback: Correct because according to Standard II(A), Material Nonpublic Information, Recommended Procedures for Compliance, if Merchant stopped market making, a form of proprietary trading, due to being in possession of material nonpublic information, it could tip off investors that Vital is likely to be making a major announcement in the near future. This would be counterproductive to the goals of maintaining the confidentiality of information and providing market liquidity. The Standard recommends that market makers remain passive when in possession of material nonpublic information. The Standard also requires personal trading to be suspended when in possession of material nonpublic information, and it is prudent to suspend arbitrage trading to prevent profits from insider trading.

Question 23

According to the Standards, a member who manages an index fund is:

Correct answer: A

A. only required to invest in a manner consistent with the fund's stated mandate. - Correct

Correct Answer Feedback: Correct because according to Standard III(C), Suitability, some members are responsible for managing a fund to an index or an expected mandate. The responsibility of these members and candidates is to invest in a manner consistent with the stated mandate. Members and candidates who manage pooled assets to a specific mandate are not responsible for determining the suitability of the fund& as an investment for investors who may be purchasing shares in the fund.

B. only required to determine the suitability of the fund for those who invest in the fund. - Incorrect

Incorrect Answer Feedback: Incorrect because according to Standard III(C), Suitability, members and candidates who manage pooled assets to a specific mandate are not responsible for determining the suitability of the fund as an investment for investors who may be purchasing shares in the fund.

C. both required to invest in a manner consistent with the fund's stated mandate and to determine the suitability of the fund for those who invest in the fund. - Incorrect

Incorrect Answer Feedback: Incorrect because according to Standard III(C), Suitability, members and candidates who manage pooled assets to a specific mandate are not responsible for determining the suitability of the fund as an investment for investors who may be purchasing shares in the fund.

Question 24

According to the Standard relating to referral fees, members should disclose to employers the amount and nature of compensation received at least:

Correct answer: B

A. monthly. - Incorrect

Incorrect Answer Feedback: Incorrect because according to the recommended procedures for compliance with Standard VI(C), Referral Fees, employers should have investment professionals provide the employer regular (at least quarterly) updates on the amount and nature of compensation received. Therefore, updates should not be disclosed at least monthly.

B. quarterly. - Correct

Correct Answer Feedback: Correct because according to the recommended procedures for compliance with Standard VI(C), Referral Fees, employers should have investment professionals provide the employer regular (at least quarterly) updates on the amount and nature of compensation received.

C. annually. - Incorrect

Incorrect Answer Feedback: Incorrect because according to the recommended procedures for compliance with Standard VI(C), Referral Fees, employers should have investment professionals provide the employer regular (at least quarterly) updates on the amount and nature of compensation received. Therefore, updates should not be disclosed at least annually.

Question 25

According to the GIPS standards, verification is:

Correct answer: A

A. performed on a firm-wide basis. - Correct

Correct Answer Feedback: Correct because according to the GIPS standards, verification is performed with respect to an entire firm, not on specific composites.

B. mandatory once the firm claims compliance. - Incorrect

Incorrect Answer Feedback: Incorrect because according to the GIPS standards, once a firm claims compliance with the standards, they may voluntarily hire an independent third party to perform a verification in order to increase confidence in the firm's claim of compliance.

C. conducted by the firm's compliance department. - Incorrect

Incorrect Answer Feedback: Incorrect because verification must be performed by an independent third party. A firm cannot perform its own verification.

Question 26

Can an asset management firm who follows the GIPS standards for only selected performance composites claim that it is compliant with the GIPS standards?

Correct answer: A

A. No - Correct

Correct Answer Feedback: Correct because compliance with the GIPS standards is a firm-wide process that cannot be achieved or claimed for just a single product or for selected composites. To be eligible to claim compliance, an asset management firm must fully comply with all requirements of the GIPS standards.

B. Yes, but only if it uses the return calculation requirements of the GIPS standards for all composites - Incorrect

Incorrect Answer Feedback: Incorrect because to be eligible to claim compliance, an asset management firm must fully comply with all requirements of the GIPS standards. Return calculations are just a small component of all the GIPS requirements.

C. Yes, but only if those composites meet the performance reporting requirements of the GIPS standards - Incorrect

Incorrect Answer Feedback: Incorrect because to be eligible to claim compliance, an asset management firm must fully comply with all requirements of the GIPS standards on a firm-wide basis, not just for a select group of composites. So whether or not performance reporting is meeting a certain standard is irrelevant.

Question 27

Judith Sway has passed the Level I CFA exam. She writes in her resume: "I enrolled in the CFA Program to obtain the highest set of credentials in the global investment management industry." She adds: "The skills the CFA Program cultivates are key assets for my future career development." Has Sway most likely violated the Standards?

Correct answer: A

A. No - Correct

Correct Answer Feedback: Correct because according to Standard VII (B), Reference to CFA Institute, the CFA designation, and the CFA Program, statements referring to CFA Institute, the CFA designation, or the CFA Program that overstate the competency of an individual or imply, either directly or indirectly, that superior performance can be expected from someone with the CFA designation are not allowed under the standard. One proper reference, for example, is: "I enrolled in the CFA Program to obtain the highest set of credentials in the global investment management industry." In this case, no exaggeration was done and both statements are among the permissible uses of reference.

B. Yes, by stating: "The skills the CFA Program cultivates are key assets for my future career development." - Incorrect

Incorrect Answer Feedback: Incorrect because Sway has not violated the Standards, as described in the response rationale for the correct answer.

C. Yes, by stating: "I enrolled in the CFA Program to obtain the highest set of credentials in the global investment management industry." - Incorrect

Incorrect Answer Feedback: Incorrect because Sway has not violated the standards, as described in the response rationale for the correct answer.

Question 28

An analyst gathers the following information about three markets:

	Number of Sellers	Non-Price Competition
Market 1	Many	None
Market 2	Few	Strong
Market 3	Many	Strong

Which market is most likely perfectly competitive?

Correct answer: A

A. Market 1 - Correct

Correct Answer Feedback: Correct because in a perfectly competitive market there are a large number of potential buyers and sellers and non-price competition is absent.

B. Market 2 - Incorrect

Incorrect Answer Feedback: Incorrect because in a perfectly competitive market there are a large (not small) number of potential buyers and sellers and non-price competition is absent. Market 2 resembles the characteristics of an oligopoly.

C. Market 3 - Incorrect

Incorrect Answer Feedback: Incorrect because in a perfectly competitive market there are a large number of potential buyers and sellers and non-price competition is absent. Market 3 resembles the characteristics of monopolistic competition.

Question 29

Which of the following statements relating to information asymmetry is most accurate?

Correct answer: A

A. A company that has a range of complex products has high information asymmetry - Correct

Correct Answer Feedback: Correct because companies with comparatively high asymmetry in information include those with complex products, high-tech companies, companies with little transparency in financial accounting information.

B. High levels of institutional ownership in a company leads to high information asymmetry - Incorrect

Incorrect Answer Feedback: Incorrect because companies with comparatively high asymmetry in information include those with lower, not high, levels of institutional ownership.

C. Providers of capital demand lower risk premiums from companies with higher information asymmetry - Incorrect

Incorrect Answer Feedback: Incorrect because providers of both debt and equity capital demand higher risk premiums and returns from companies with higher asymmetry in information because there is greater potential for conflicts of interest.

Question 30

The following selected data are available for a firm:

	$ millions
Net income	90.0
Non-cash charges	15.2
Interest expense	28.0
Capital expenditures	34.3
Working capital expenditures	13.0

If the firm's tax rate is 40%, the free cash flow to the firm (FCFF) is closest to:

Correct answer: C

A. 57.9. - Incorrect

Incorrect Answer Feedback: Incorrect. It neglected to consider interest expense. $ millions Net income 90 + Non-cash charges 15.2 – Capital expenditures (34.3) – Working capital expenditures (13.0) FCFF 57.9

B. 87.7. - Incorrect

Incorrect Answer Feedback: Incorrect. It neglected to consider working capital expenditures. $ millions Net income 90 + Non-cash charges 15.2 + Interest expense × (1 – tax rate) 28 × (1 – 0.4) = 16.8 – Capital expenditures (34.3) FCFF 87.7

C. 74.7. - Correct

Correct Answer Feedback: Correct. FCFF = NI + NCC + Int(1 – t) – FCInv – WCInv $ millions Net income (NI) 90 + Non-cash charges (NCC) 15.2 + Interest expense × (1 – Tax rate) 28 × (1 – 0.4) = 16.8 – Capital expenditures (FCInv) –34.3 – Working capital expenditures (WCInv) –13.0 FCFF 74.7

Incorrect Answer Feedback: Incorrect. It neglected to consider interest expense.

	$ millions
Net income	90
+ Non-cash charges	15.2
– Capital expenditures	(34.3)
– Working capital expenditures	(13.0)
FCFF	57.9

Figure 1: Source equation for question 30, option A

Incorrect Answer Feedback: Incorrect. It neglected to consider working capital expenditures.

	$ millions
Net income	90
+ Non-cash charges	15.2
+ Interest expense × (1 – tax rate)	28 × (1 – 0.4) = 16.8
– Capital expenditures	(34.3)
FCFF	87.7

Figure 2: Source equation for question 30, option B

Correct Answer Feedback: Correct. FCFF = NI + NCC + Int(1 – *t*) – FCInv – WCInv

	$ millions
Net income (NI)	90
+ Non-cash charges (NCC)	15.2
+ Interest expense × (1 – Tax rate)	28 × (1 – 0.4) = 16.8
– Capital expenditures (FCInv)	–34.3
– Working capital expenditures (WCInv)	–13.0
FCFF	74.7

Figure 3: Source equation for question 30, option C

Question 31

Which of the following is best described as a means of influencing another country's decisions without force or coercion?

Correct answer: A

A. Soft power - Correct

Correct Answer Feedback: Correct because soft power is a means of influencing another country's decisions without force or coercion.

B. Standardization - Incorrect

Incorrect Answer Feedback: Incorrect because standardization is the process of creating protocols for the production, sale, transport, or use of a product or service. Standardization occurs when relevant parties agree to follow these protocols together. Soft power is a means of influencing another country's decisions without force or coercion.

C. Regulatory cooperation - Incorrect

Incorrect Answer Feedback: Incorrect because regulatory cooperation is a form of standardization. Standardization can take many forms—from regulatory cooperation, to process standardization, to operational synchronization. Soft power is a means of influencing another country's decisions without force or coercion.

Question 32

The arrangement under which a company produces a product using someone else's brand name in return for a royalty best describes:

Correct answer: A

A. licensing. - Correct

Correct Answer Feedback: Correct because under licensing arrangements a company will produce a product using someone else's brand name in return for a royalty.

B. contract manufacturing. - Incorrect

Incorrect Answer Feedback: Incorrect because private label or contract manufacturers produce goods to be marketed by others. This is a common arrangement, particularly for offshore production. Apple and NVIDIA, for example, do not manufacture their own branded products but instead contract with many specialized contract manufacturers in Asia.

C. private label manufacturing. - Incorrect

Incorrect Answer Feedback: Incorrect because private label or contract manufacturers produce goods to be marketed by others. This is a common arrangement, particularly for offshore production. Apple and NVIDIA, for example, do not manufacture their own branded products but instead contract with many specialized contract manufacturers in Asia.

Question 33

In simple linear regression models, the normality assumption requires that the:

Correct answer: C

A. dependent variable is normally distributed. - Incorrect

Incorrect Answer Feedback: Incorrect because the assumption of normality requires that the residuals be normally distributed. This does not mean that the dependent and independent variables must be normally distributed; it only means that the residuals from the model are normally distributed.

B. independent variable is normally distributed. - Incorrect

Incorrect Answer Feedback: Incorrect because the assumption of normality requires that the residuals be normally distributed. This does not mean that the dependent and independent variables must be normally distributed; it only means that the residuals from the model are normally distributed.

C. regression residuals are normally distributed. - Correct

Correct Answer Feedback: Correct because we need to make the assumption that regression residuals are normally distributed to be able to draw valid conclusions from a simple linear regression model.

Question 34

When preparing a common-sized income statement, the appropriate denominator for converting the reported cost of sales is:

Correct answer: A

A. revenues. - Correct

Correct Answer Feedback: Correct because when using a common-sized income statement, each line item, including cost of sales, is stated as a percentage of revenue. Common-size statements facilitate comparison across time periods and across companies because the standardization of each line item removes the effect of size.

B. net income. - Incorrect

Incorrect Answer Feedback: Incorrect because common-size analysis of the income statement is performed by stating each line item on the income statement as a percentage of revenue, not net income.

C. pretax income. - Incorrect

Incorrect Answer Feedback: Incorrect because pretax income is most appropriately used in conjunction with the reported amount of taxes to ultimately examine the cause of differences in effective tax rates across companies and project their future amounts of net income.

Question 35

Under the indirect method, which of the following should be subtracted from net income to arrive at cash flow from operating activities?

Correct answer: B

A. Purchase of equipment - Incorrect

Incorrect Answer Feedback: Incorrect, because the purchase of equipment is a cash flow from investing activities, not an operating cash flow. Investing activities include purchasing and selling long-term assets and other investments. These long-term assets and other investments include property, plant, and equipment.

B. Decrease in accounts payable - Correct

Correct Answer Feedback: Correct, because a decrease in current operating liabilities (e.g., accounts payable and accrued expense liabilities) is a subtraction from net income using the indirect method.

C. Amortization expense of intangible assets - Incorrect

Incorrect Answer Feedback: Incorrect, because amortization expense of intangible assets is an addition to net income using the indirect method.

Question 36

The lognormal distribution:

Correct answer: B

A. is unbounded. - Incorrect

Incorrect Answer Feedback: Incorrect because the two most noteworthy observations about the lognormal distribution are that it is bounded below by 0 and it is skewed to the right.

B. is asymmetrical. - Correct

Correct Answer Feedback: Correct because the two most noteworthy observations about the lognormal distribution are that it is bounded below by 0 and it is skewed to the right (it has a long right tail), i.e. it is asymmetrical.

C. has the same mean as that of its associated normal distribution. - Incorrect

Incorrect Answer Feedback: Incorrect because like the normal distribution, the lognormal distribution is completely described by two parameters. Unlike the other distributions, a lognormal distribution is defined in terms of the parameters of a different distribution. The two parameters of a lognormal distribution are the mean and standard deviation (or variance) of its associated normal distribution. Remember, we must keep track of two sets of means and standard deviations (or variances): the mean and standard deviation (or variance) of the associated normal distribution (these are the parameters) and the mean and standard deviation (or variance) of the lognormal variable itself. The mean of the lognormal distribution is not equal to the mean of the associated normal distribution.

Question 37

Which of the following stakeholders is most likely subject to the greatest level of information asymmetry?

Correct answer: B

A. Bank lenders - Incorrect

Incorrect Answer Feedback: Incorrect because bank lenders generally hold company debt to maturity and typically have direct access to company management and non-public information about the company, which in principle reduces information asymmetries.

B. Public market debtholders - Correct

Correct Answer Feedback: Correct because asymmetric information (an unequal distribution of information) arises from the fact that managers have more information about a company's performance and prospects (including future investment opportunities) than do outsiders, such as owners and creditors. There are stakeholder differences between holders of public debt, private debt, and bank lenders which arise primarily from differences in investment time horizon and stakeholder access to information. Public market debtholders rely on public information and credit rating agency determinations to make their investment decisions. They may not hold debt securities to maturity, so their returns reflect changes in the price of the securities over time—not just the ability of the borrower to pay interest and principal.

C. Private market debtholders - Incorrect

Incorrect Answer Feedback: Incorrect because private lenders generally hold company debt to maturity and typically have direct access to company management and non-public information about the company, which in principle reduces information asymmetries.

Question 38

Credit cycles are most likely:

Correct answer: C

A. shorter and shallower than business cycles. - Incorrect

Incorrect Answer Feedback: Incorrect because credit cycles tend to be longer, deeper, and sharper than business cycles.

B. of equal length and depth as business cycles. - Incorrect

Incorrect Answer Feedback: Incorrect because whereas financial variables tend to co-vary closely with each other and can often help explain the size of an economic expansion or contraction, they are not always synchronized with the traditional business cycle.

C. longer and deeper than business cycles. - Correct

Correct Answer Feedback: Correct because credit cycles tend to be longer, deeper, and sharper than business cycles. Although the length of a business cycle varies from peak to trough, the average length of a credit cycle is mostly found to be longer than that of the business cycle.

Question 39

If a set of 52 items is sorted in ascending order, the 13th observation is in the second:

Correct answer: B

A. decile. - Incorrect

Incorrect Answer Feedback: Incorrect because the 25th percentile falls into the third decile (20th to 30th percentile).

B. quintile. - Correct

Correct Answer Feedback: Correct because the percentage point of the observation, y, can be found by using , where n is the number of observations and L is the location of the percentile in the array y sorted in ascending order. Therefore, solving for the location of the percentage point of the observation: , rounded to the 25th percentile. The 25th percentile falls in the second quintile (20th to 40th percentile).

Correct Answer Feedback: Correct because the percentage point of the observation, *y*, can be found by using $L_y = ((n+1))\frac{y}{100}$, where *n* is the number of observations and L_y is the location of the percentile in the array sorted in ascending order. Therefore, solving for the location of the percentage point of the observation: $13 = ((52+1))\frac{y}{100}$; $\frac{y}{100} = \frac{13}{53} \approx 24.5$, rounded to the 25th percentile. The 25th percentile falls in the second quintile (20th to 40th percentile).

Figure 4: Source equation for question 39, option B

C. quartile. - Incorrect

Incorrect Answer Feedback: Incorrect because the 25th percentile falls into the first quartile (below the 25th percentile). The first quartile (Q) divides a distribution such that 25% of the observations lie at or below it; 1 therefore, the first quartile is also the 25th percentile.

Question 40

Use of a nonparametric test is most appropriate when the:

Correct answer: A

A. data are given in ranks. - Correct

Correct Answer Feedback: Correct because nonparametric procedures are primarily used in three situations: when the data are given in ranks, when the data do not meet distributional assumptions, or when the hypothesis being addressed does not concern a parameter.

B. distribution is symmetrical. - Incorrect

Incorrect Answer Feedback: Incorrect because, in general, symmetric distributions support the use of parametric approaches (unless the sample size is too small).

C. population variance is unknown. - Incorrect

Incorrect Answer Feedback: Incorrect because, in general, when the population variance is unknown, parametric procedures are still used.

Question 41

In capital investing, a production-flexibility option allows a company to:

Correct answer: A

A. reduce supply on lower demand. - Correct

Correct Answer Feedback: Correct because production-flexibility options offer the operational flexibility to alter production when demand varies from what is forecast.

B. sequence investments over time. - Incorrect

Incorrect Answer Feedback: Incorrect because this refers to a timing or project sequencing option. Project sequencing options allow the company to defer the decision to invest in a future investment until the outcome of some or all of a current investment is known.

C. increase prices on excess demand. - Incorrect

Incorrect Answer Feedback: Incorrect because this refers to a price-setting option. Management may be able to exercise a price-setting option. By increasing prices, the company could benefit from the excess demand, which it cannot do by increasing production.

Question 42

If a return distribution has frequent small gains and a few extreme losses, the distribution most likely:

Correct answer: B

A. is mesokurtic. - Incorrect

Incorrect Answer Feedback: Incorrect because kurtosis is a measure of the combined weight of the tails of a distribution relative to the rest of the distribution and a distribution similar to the normal distribution as concerns relative weight in the tails is called mesokurtic. The distribution in the stem is negatively skewed. Kurtosis is not a measure of skewness.

B. has negative skewness. - Correct

Correct Answer Feedback: Correct because a return distribution with negative skew has frequent small gains and a few extreme losses. A negatively skewed distribution has negative skewness.

C. has a mean greater than its median. - Incorrect

Incorrect Answer Feedback: Incorrect because a return distribution with negative skew has frequent small gains and a few extreme losses. For the continuous negatively skewed unimodal distribution, the mean is less than the median.

Question 43

A hypothesis test fails to reject a false null hypothesis. This result is best described as a:

Correct answer: B

A. Type I error. - Incorrect

Incorrect Answer Feedback: Incorrect. Rejection of a true null hypothesis is a Type I error.

B. Type II error. - Correct

Correct Answer Feedback: Correct. Failure to reject a false null hypothesis is a Type II error.

C. test with little power. - Incorrect

Incorrect Answer Feedback: Incorrect. The power of a test is the probability of correctly rejecting the null.

Question 44

An analyst gathers the following information (in € millions) about a company's 4-year construction contract:

Contract price	106
Expected total costs	70
Actual costs incurred in Year 1	21
Bonus for on-time completion	8

Costs incurred are an appropriate measure of progress toward completion. The construction company is very experienced with similar contracts. If it is highly probable revenue will not be subsequently reversed, revenue (in € millions) recognized in Year 1 is most likely:

Correct answer: C

A. 31.8. - Incorrect

Incorrect Answer Feedback: Incorrect because it does not include the bonus for on-time completion. A company is only allowed to recognize variable consideration if it can conclude that it will not have to reverse the cumulative revenue in the future. Calculated as 21/70 × 106 = 30% × 106 = 31.8.

B. 33.8. - Incorrect

Incorrect Answer Feedback: Incorrect because it includes 25% (1 out of 4 years) of the bonus for on-time completion. A company is only allowed to recognize variable consideration if it can conclude that it will not have to reverse the cumulative revenue in the future. Calculated as (21/70 × 106) + (1/4 × 8) = (30% × 106) + (1/4 × 8) = 31.8 + (1/4 × 8) = 33.8.

C. 34.2. - Correct

Correct Answer Feedback: Correct because both the contract revenue and bonus should be calculated based on progress toward completion. A company is only allowed to recognize variable consideration if it can conclude that it will not have to reverse the cumulative revenue in the future. Answer is calculated as 21/70 × (106 + 8) = 30% × 114 = 34.2.

Question 45

If a firm's supply curve equals its long-run marginal cost schedule, the firm most likely operates in a market structure of:

Correct answer: C

A. oligopoly. - Incorrect

Incorrect Answer Feedback: Incorrect because the oligopolist does not have a well-defined supply function. That is, there is no way to determine the oligopolist's optimal levels of output and price independent of demand conditions and competitors' strategies. Neither the dominant firm nor the follower firms have a single functional relationship that determines the quantity supplied at various prices. Therefore, the oligopolist's supply curve is not determined solely by its marginal cost schedule.

B. monopoly. - Incorrect

Incorrect Answer Feedback: Incorrect because the monopolist does not have a well-defined supply function that determines the optimal output level and the price to charge. A monopolistic firm does not have a supply curve but will produce the quantity that maximizes profit, which is the intersection of marginal cost and marginal revenue.

C. perfect competition. - Correct

Correct Answer Feedback: Correct because the long-run marginal cost schedule is the perfectly competitive firm's supply curve. In perfect competition, the firm's supply schedule is represented by the marginal cost schedule.

Question 46

For a company with taxable income, if interest expense becomes tax deductible, the effective marginal cost of debt:

Correct answer: A

A. decreases. - Correct

Correct Answer Feedback: Correct because if interest can be deducted the tax deductibility of debt reduces the effective marginal cost of debt.

B. remains the same. - Incorrect

Incorrect Answer Feedback: Incorrect because if interest can be deducted the tax deductibility of debt reduces the effective marginal cost of debt.

C. increases. - Incorrect

Incorrect Answer Feedback: Incorrect because if interest can be deducted the tax deductibility of debt reduces the effective marginal cost of debt.

Question 47

For similar amounts, which of the following actions will have the largest effect on GDP? An increase in:

Correct answer: A

A. government spending. - Correct

Correct Answer Feedback: Correct because government spending increases have a much bigger effect (six times bigger) on GDP than similar size social transfers because the latter are not considered permanent.

B. social transfers to all citizens. - Incorrect

Incorrect Answer Feedback: Incorrect because government spending increases have a much bigger effect (six times bigger) on GDP than similar size social transfers.

C. social transfers to the poorest citizens. - Incorrect

Incorrect Answer Feedback: Incorrect because government spending increases have a much bigger effect (six times bigger) on GDP than similar size social transfers.

Question 48

An analyst gathers the following information (in € millions) about three companies:

	Company 1	Company 2	Company 3
Cash and short-term securities	50	60	90
Accounts receivable	30	70	40
Inventory	40	20	60
Current liabilities	60	90	100

The company with the highest quick ratio is:

Correct answer: B

A. Company 1. - Incorrect

Incorrect Answer Feedback: Incorrect because Company 1 has the highest current ratio not quick ratio: Current ratio = (cash + short term securities + A/R + Inventories)/Current Liabilities Company 1 current ratio = (50 + 30 +40)/60 = 2.000 Company 2 current ratio = (60 + 70 + 20)/90 = 1.667 Company 3 current ratio = (90 + 40 + 60)/100 = 1.900

B. Company 2. - Correct

Correct Answer Feedback: Correct because the quick ratio = (cash + short term securities + A/R)/Current Liabilities Company 1 quick ratio = (50 + 30)/60 = 1.333 Company 2 quick ratio = (60 + 70)/90 = 1.444 Company 3 quick ratio = (90 + 40)/100 = 1.300

C. Company 3. - Incorrect

Incorrect Answer Feedback: Incorrect because Company 3 has the highest cash ratio, not quick ratio: Cash ratio = (cash + short term securities)/Current Liabilities Company 1 cash ratio = 50/60 = 0.8333 Company 2 cash ratio = 60/90 = 0.6667 Company 3 cash ratio = 90/100 = 0.900

Question 49

When conducting an executive remuneration policy review, one warning sign that warrants additional scrutiny is most likely:

Correct answer: C

A. payout provisions linked to strategic milestones. - Incorrect

Incorrect Answer Feedback: Incorrect because the presence of provisions linking payouts with specific milestones are not necessarily negative as long as those milestones are in line with company's objectives and they are strategic for the long-term success of the company. Some remuneration plans contain payouts tied to specific milestones, such as regulatory approval of a product, completion of an acquisition, or achievement of specific cost reductions. These factors are not necessarily negative features, but investors may want to understand whether the milestones driving the incentive plan align with the company's objectives.

B. variable payouts over multiple years when company results vary. - Incorrect

Incorrect Answer Feedback: Incorrect because the payouts should be connected to the performance of the underlying business, which is likely to change over multiple years, hence the lack of variability would be a concern. Current executive remuneration programs consist of a base salary, a short-term bonus usually delivered in the form of cash, and a multi-year incentive plan delivered in one or more forms of equity (options, time-vested shares, and/or performance-vested shares). However, if an award is described as performance-based but still pays in full every year regardless of the company's results, investors may have concerns about the rigor of the performance hurdles underlying the awards.

C. compensation consisting solely of base salary and cash bonuses. - Correct

Correct Answer Feedback: Correct because the program doesn't include equity incentive, which means there is little alignment with shareholders interests. If a plan offers only cash-based payouts and no equity, there may be a misalignment of incentives between executives and investors unless management already owns a significant stake in the company.

Question 50

An analyst gathers the following information about a company:

Payables turnover	3
Receivables turnover	6
Inventory turnover	9

The cash conversion cycle based on a 365-day year is closest to:

Correct answer: A

A. –20 days. - Correct

Correct Answer Feedback: Correct because Cash conversion cycle = Days of inventory on hand (DOH) + Days of sales outstanding (DSO) – Number of days of payables; or = Number of days in period / Inventory turnover + Number of days in period / Receivables turnover – Number of days in period / Payables turnover; or = 365/9 + 365/6 – 365/3 = 40.56 + 60.83 – 121.67 = –20.27 ~ –20 days.

B. 12 days. - Incorrect

Incorrect Answer Feedback: Incorrect because it assumes Cash conversion cycle = Inventory turnover + Receivables turnover – Payables turnover; or = 9 + 6 – 3 = 12 days.

C. 30 days. - Incorrect

Incorrect Answer Feedback: Incorrect because it assumes Cash conversion cycle = 365 / (Inventory turnover + Receivables turnover – Payables turnover); or = 365 / 12 = 30.42 ~ 30 days.

Question 51

A firm operating in a perfectly competitive market will most likely shut down in the short run when:

Correct answer: C

A. average total cost is higher than marginal revenue. - Incorrect

Incorrect Answer Feedback: Incorrect because the output quantity for which average total cost equals average revenue corresponds to the breakeven point, not the shutdown point, and the breakeven point occurs for a value of Q which is greater than that for the shutdown point. A firm breaks even if its price (AR) is exactly equal to its ATC (average total cost), which is true under conditions of perfect and imperfect competition. Furthermore, in perfect competition marginal revenue equals average revenue.

B. average fixed cost is higher than average revenue. - Incorrect

Incorrect Answer Feedback: Incorrect because the output quantity for which average total cost equals average revenue corresponds to the breakeven point, not the shutdown point, and the breakeven point occurs for a value of Q which is greater than that for the shutdown point. A firm breaks even if its price (AR) is exactly equal to its ATC (average total cost), which is true under conditions of perfect and imperfect competition. Furthermore, in perfect competition marginal revenue equals average revenue.

C. average variable cost is higher than average revenue. - Correct

Correct Answer Feedback: Correct because if TR (total revenue) cannot cover TVC (total variable cost), the firm shuts down production to minimize loss. Also, average revenue (AR) is revenue per unit. Further, average variable cost (AVC) is the ratio of total variable cost to total output: AVC = TVC/Q. Therefore TR < TVC implies that AR < AVC.

Question 52

An analyst estimates the following data about a company for the next year:

Inflation rate on the cost of sales	10%
Increase in average selling price per unit	7%
Decrease in volumes sold	3%

If the company's cost of sales is 60% for the current year, the company's projected gross profit margin for next year is closest to:

Correct answer: B

A. 36.4%. - Incorrect

Incorrect Answer Feedback: Incorrect because it does not decrease volumes sold for determining cost of sales too but only from the sales, as follows: Assuming 100 units sold in the current year, cost of sales in current year = 60% × 100 = 60. For the following year: Sales = Sales in current year × (1 + Increase in average price per unit) × (1 – Decrease in volumes sold) = 100 × (1 + 7%) × (1 – 3%) = 100 × 1.07 × 0.97 = 103.79. Cost of sales = Cost of sales in current year × (1 + Inflation rate on the cost of sales) = 60 × (1 + 10%) = 60 × 1.1 = 66.00. Gross profit = Sales – Cost of sales = 103.79 – 66.00 = 37.79. Gross profit margin = Gross profit / Sales = 37.79 / 103.79 ≈ 36.4101% ≈ 36.4%.

B. 38.3%. - Correct

Correct Answer Feedback: Correct because the Gross profit margin = Sales – Cost of sales. Assuming 100 units sold in the current year, cost of sales in current year = 60% × 100 = 60. For the following year: Sales = Sales in current year × (1 + Increase in average price per unit) × (1 – Decrease in volumes sold) = 100 × (1 + 7%) × (1 – 3%) = 100 × 1.07 × 0.97 = 103.79. Cost of sales = Cost of sales in current year × (1 + Inflation rate on the cost of sales) × (1 – Decrease in volumes sold) = 60 × (1 + 10%) × (1 – 3%) = 60 × 1.1 × 0.97 = 64.02. Gross profit = Sales – Cost of sales = 103.79 – 64.02 = 39.77. Gross profit margin = Gross profit / Sales = 39.77 / 103.79 ≈ 38.3177% ≈ 38.3%.

C. 39.8%. - Incorrect

Incorrect Answer Feedback: Incorrect because this is the Gross profit divided by 100 instead of the projected sales for the following year, as follows: Sales in current year = 100% based on common size analysis For the following year: Sales = Sales in current year × (1 + Increase in average price per unit) × (1 – Decrease in volumes sold) = 100% × (1 + 7%) × (1 – 3%) = 100% × 1.07 × 0.97 = 103.79%. Cost of sales = Cost of sales in current year × (1 + Inflation rate on the cost of sales) × (1 – Decrease in volumes sold) = 60% × (1 + 10%) × (1 – 3%) = 60 × 1.1 × 0.97 = 64.02%. Gross profit = Sales – Cost of sales = 103.79% – 64.02% = 39.77% ≈ 39.8%.

Question 53

In evaluating portfolio performance, the return measure most affected by an addition of funds to the portfolio just before a market downturn is the:

Correct answer: C

A. time-weighted return. - Incorrect

Incorrect Answer Feedback: Incorrect because an investment measure that is not sensitive to the additions and withdrawals of funds is the time-weighted rate of return. The time-weighted rate of return measures the compound rate of growth of $1 initially invested in the portfolio over a stated measurement period. For the evaluation of

portfolios of publicly traded securities, the time-weighted rate of return is the preferred performance measure as it neutralizes the effect of cash withdrawals or additions to the portfolio, which are generally outside of the control of the portfolio manager.

B. arithmetic mean return. - Incorrect

Incorrect Answer Feedback: Incorrect because the simplest way to compute the return is to take a simple arithmetic average of all holding period returns. Moreover, the arithmetic mean return assumes that the amount invested at the beginning of each period is the same. Thus, the arithmetic mean return does not account for cash additions to the portfolio and it is not affected by them.

C. money-weighted return. - Correct

Correct Answer Feedback: Correct because, if funds are added to a portfolio, the money-weighted rate of return puts a greater weight on the time period after the funds were added. (As a corollary, if funds are taken out of a portfolio, the money-weighted rate of return puts a greater weight on the time period before the funds were removed.) So, if a client gives an investment manager more funds to invest at an unfavorable time, the manager's money-weighted rate of return will tend to be depressed.

Question 54

With respect to fintech applications, data curation is best described as the process of:

Correct answer: A

A. ensuring data quality and accuracy. - Correct

Correct Answer Feedback: Correct because data curation refers to the process of ensuring data quality and accuracy through a data cleaning exercise. This process consists of reviewing all data to detect and uncover data errors—bad or inaccurate data—and making adjustments for missing data when appropriate.

B. collecting and transforming data into a format that can be used. - Incorrect

Incorrect Answer Feedback: Incorrect because it best describes data capture, not data curation. Data capture refers to how the data is collected and transformed into a format that can be used by the analytical process. Data curation refers to the process of ensuring data quality and accuracy through a data cleaning exercise.

C. recording, archiving, and accessing data from the underlying database. - Incorrect

Incorrect Answer Feedback: Incorrect because it best describes data storage, not data curation. Data storage refers to how the data will be recorded, archived, and accessed and the underlying database design. Data curation refers to the process of ensuring data quality and accuracy through a data cleaning exercise.

Question 55

With respect to transparency, effective central banks:

Correct answer: A

A. outline their view on credit conditions. - Correct

Correct Answer Feedback: Correct because one way of establishing credibility is for a central bank to be transparent in its decision making. They will consider and outline their views on the following subjects, usually in this order: Broad money aggregates and credit conditions.

B. separate control from political influence. - Incorrect

Incorrect Answer Feedback: Incorrect because the separation of control of the central bank from political influence refers to the independence quality of an effective central bank as opposed to transparency. That is, there are degrees of independence in practice separating control from political influence completely is probably an impossible (although a desirable) goal.

C. determine the definition of inflation that they target. - Incorrect

Incorrect Answer Feedback: Incorrect because an inflation target is associated with the independence of a central bank. That is, there are further degrees of independence. Some central banks are both operationally and target independent. This means that they not only decide the level of interest rates, but they also determine the definition of inflation that they target.

Question 56

Earthquakes most likely expose a country to:

Correct answer: C

A. event risk. - Incorrect

Incorrect Answer Feedback: Incorrect because event risk evolves around set dates, such as elections, new legislation, or other date-driven milestones, such as holidays or political anniversaries, known in advance. Political events often result in changes to investor expectations related to a country's cooperative stance.

B. thematic risk. - Incorrect

Incorrect Answer Feedback: Incorrect because thematic risks are known risks that evolve and expand over a period of time. Climate change, pattern migration, the rise of populist forces, and the ongoing threat of terrorism fall into this category. Cyber threats are another example of thematic risk. Cyber risks include any attempt to expose, alter, disable, destroy, steal, or gain information through unauthorized access to or unauthorized use of computer systems.

C. exogenous risk. - Correct

Correct Answer Feedback: Correct because exogenous risk is a sudden or unanticipated risk that impacts either a country's cooperative stance, the ability of non-state actors to globalize, or both. Examples include sudden uprisings, invasions, or the aftermath of natural disasters.

Question 57

A project offers the following incremental after-tax cash flows (CF):

Year	0	1	2	3	4	5	6
Cash flow (€)	−12,500	2,000	4,000	5,000	2,000	1,000	500

The IRR of the project is closest to:

Correct answer: C

A. 2.5%. - Incorrect

Incorrect Answer Feedback: Incorrect. It adds up all the inflows as follows: (2 + 4 + 5 + 2 + 1 + 0.5) = 14.5. Then it incorrectly uses 14.5 as the FV as follows: N = 6, PV = −12.5, FV = 14.5, PMT = 0. Solve for I/Y: I/Y = 2.50%.

B. 4.4%. - Incorrect

Incorrect Answer Feedback: Incorrect. It uses the average accounting cash flow (2 + 4 + 5 + 2 + 1 + 0.5)/6 = 2.41667 as an annuity: N = 6, PV = −12.5, PMT = 2.41667, FV = 0. Solve for I/Y: I/Y = 4.41%.

C. 5.5%. - Correct

Correct Answer Feedback: Correct because using a financial calculator: CF 0 = −12,500, CF 1 = 2,000, CF = 4,000, CF = 5,000, CF = 2,000, CF = 1,000, CF = 500, and solving for IRR: IRR = 5.46867% 2 3 4 5 6 ~ 5.5%. Alternatively, the net present value (NPV) of the given cash flows can be found by using the three possible answers. Rate NPV 2.5% €1,028.38 4.4% €355.75 5.5% −€10.20 5.5% is closest to zero and thus closest to the IRR of the project.

Correct Answer Feedback: Correct because using a financial calculator: $CF_0 = -12{,}500$, $CF_1 = 2{,}000$, $CF_2 = 4{,}000$, $CF_3 = 5{,}000$, $CF_4 = 2{,}000$, $CF_5 = 1{,}000$, $CF_6 = 500$, and solving for IRR: IRR = 5.46867% ~ 5.5%. Alternatively, the net present value (NPV) of the given cash flows can be found by using the three possible answers.

Rate	NPV
2.5%	€1,028.38
4.4%	€355.75
5.5%	−€10.20

5.5% is closest to zero and thus closest to the IRR of the project.

Figure 5: Source equation for question 57, option C

Question 58

An analyst gathers the following information about two companies in the same industry:

	Company 1	Company 2
ROE	12%	18%
Average total assets/Average shareholders' equity	2	3
Revenue/Average total assets	1	2

Based only on this information, Company 2:

Correct answer: C

A. is less efficient than Company 1. - Incorrect

Incorrect Answer Feedback: Incorrect because a low asset turnover can be an indicator of inefficiency or of relative capital intensity of the business. Company's 2 asset turnover is 2 and larger than Company 1, indicating higher efficiency.

B. has a higher ROA than Company 1. - Incorrect

Incorrect Answer Feedback: Incorrect because ROE can be written as ROE = ROA x Leverage and thus ROA = ROE/Leverage. Leverage = average total assets/average shareholders' equity. For Company 1, ROA = 12%/2 = 6%. For Company 2, ROA = 18%/3 = 6%. They are equal.

C. has a lower net profit margin than Company 1. - Correct

Correct Answer Feedback: Correct because ROE = Net profit margin × Total asset turnover × Leverage and thus Net profit margin = ROE/(Total asset turnover × Leverage). For Company 1, Net profit margin = 12%/(1 × 2) = 6%, which is higher than Company 2's Net profit margin = 18%/(2 × 3) = 3%.

Question 59

An asset earns 13.1% over a 16-month period. The asset's annualized compound rate of return is closest to:

Correct answer: B

A. 9.3%. - Incorrect

Incorrect Answer Feedback: Incorrect because it is the compound rate of return per month times 12; [(1 + 0.13100)(1/16) – 1] × 12 = 0.0077236 × 12 = 0.09268 ≈ 9.3%. This is also the geometric mean return per month times 12.

B. 9.7%. - Correct

Correct Answer Feedback: Correct because a general equation to annualize returns is given, where c is the number of periods in a year. For a quarter, c = 4 and for a month, c = 12: r = (1 + r)c – 1. That is, for 16 annual period months, c = 12/16 = 0.75 and the annualized return is (1 + 0.13100)0.75 – 1 = 1.09672 – 1 = 0.09672 ≈ 9.7%.

C. 9.8%. - Incorrect

Incorrect Answer Feedback: Incorrect because it is the arithmetic mean return per month times 12; (0.13100/16) × 12 = 0.0081875 × 12 = 0.09825 ≈ 9.8%.

Question 60

An investor gathers the following spot exchange rate information:

AUD/CHF	1.4024
USD/CHF	1.0943

AUD/CHF is the amount of AUD per 1 CHF. USD/CHF is the amount of USD per 1 CHF. The AUD/USD spot rate is closest to:

Correct answer: B

A. 0.7803. - Incorrect

Incorrect Answer Feedback: Incorrect because the calculation is done incorrectly as (USD/CHF) / (AUD/CHF) = 1.0943 / 1.4024 ≈ 0.7803.

B. 1.2815. - Correct

Correct Answer Feedback: Correct because given two exchange rates involving three currencies, it is possible to back out what the cross-rate must be. In this case, the calculation is AUD/USD = AUD / CHF × CHF / USD = 1.4024 × (1/1.0943) = 1.281549 ≈ 1.2815.

C. 1.5346. - Incorrect

Incorrect Answer Feedback: Incorrect because the calculation is done incorrectly as (USD/CHF) × (AUD/CHF) = 1.0943 × 1.4024 ≈ 1.5346.

Question 61

An analyst gathers the following information about a company:

Company value ($ billions)	1.5
Value of debt ($ billions)	0.6
Marginal tax rate	30%

Based on Modigliani and Miller's Proposition I with taxes, if the company issues common stock to repay outstanding debt, the value of the unlevered company will be closest to:

Correct answer: B

A. $0.9 billion. - Incorrect

Incorrect Answer Feedback: Incorrect because the marginal tax rate is omitted when calculating the debt tax shield. V ≠ V + D, and therefore, V ≠ $1.5 billion – $0.6 billion = $0.9 billion. L U U

B. $1.3 billion. - Correct

Correct Answer Feedback: Correct because the value of the levered company is greater than that of the all-equity company by an amount equal to the tax rate multiplied by the value of the debt, also termed the debt tax shield. V L = V + tD, where V = the value of the levered company, V = the value of the unlevered company, t is the marginal U L U tax rate and tD is the debt tax shield. Therefore, $1.5 billion = V + 0.30 × $0.6 billion and V = $1.32 billion ≈ U U $1.3 billion.

C. $1.5 billion. - Incorrect

Incorrect Answer Feedback: Incorrect because candidates use Modigliani and Miller's Proposition I without taxes which states that the market value of a company is not affected by the capital structure of the company. Therefore, V = V and the value of the unlevered company is $1.5 billion. L U

Question 62

The following is an excerpt from the note to the financial statements on intangible assets for a company: Intangible Assets (€ millions)

	Licenses	Other	Total
Cost	23,984	1,475	25,459
Accumulated amortization	7,390	1,195	8,585
Net book value, Year 2	16,594	280	16,874
Net book value, Year 1	15,200	480	15,680

As of end of Year 2, licenses with a net book value of €2,530 million have been pledged as security against borrowings. The percentage of intangible assets pledged as security against borrowings in Year 2 is closest to:

Correct answer: B

A. 9.9%. - Incorrect

Incorrect Answer Feedback: Incorrect. It incorrectly uses cost information instead of book value to calculate the percentage, giving €2,530/€25,459 = 9.9%.

B. 15.0%. - Correct

Correct Answer Feedback: Correct. The percentage of intangible assets pledged as security against borrowings in Year 2 is closest to 15.0% (€2,530/€16,874 = 15.0%).

C. 15.3%. - Incorrect

Incorrect Answer Feedback: Incorrect. It incorrectly uses the book value for only licenses when calculating the percentage, giving €2,530/€16,594 = 15.3%.

Question 63

Which of the following statements is most accurate?

Correct answer: B

A. Deferred tax assets occur when the tax base of an asset is lower than its carrying amount - Incorrect

Incorrect Answer Feedback: Incorrect because deferred tax liabilities could arise when the tax base of an asset is lower than its carrying amount.

B. A company's current tax liability is the amount payable in taxes and is based on current taxable income - Correct

Correct Answer Feedback: Correct because a company's taxable income is the basis for its income tax payable (a liability) or recoverable (an asset), which appears on its balance sheet.

C. Deferred tax liabilities occur when regulatory income tax expense is greater than accounting income tax expense - Incorrect

Incorrect Answer Feedback: Incorrect because deferred tax liabilities occur when financial accounting income tax expense is greater than regulatory income tax expense.

Question 64

Which of the following is a non-probability sampling method?

Correct answer: B

A. Cluster sampling - Incorrect

Incorrect Answer Feedback: Incorrect because it is a probability sampling method, a modification of stratified random sampling which also requires the division or classification of the population into subpopulation groups, called clusters. In this method, the population is divided into clusters, each of which is essentially a mini- representation of the entire populations. Compared with other probability sampling methods, given equal sample size, cluster sampling usually yields lower accuracy because a sample from a cluster might be less representative of the entire population.

B. Convenience sampling - Correct

Correct Answer Feedback: Correct because non-probability sampling methods rely not on a fixed selection process but instead on a researcher's sample selection capabilities. One of the non-probability sampling methods is Convenience Sampling: In this method, an element is selected from the population based on whether or not it is accessible to a researcher or on how easy it is for a researcher to access the element.

C. Stratified random sampling - Incorrect

Incorrect Answer Feedback: Incorrect because it is a probability sampling method. There are two types of sampling methods: probability sampling and non-probability sampling. We first focus on probability sampling, particularly the widely used simple random sampling and stratified random sampling. In stratified random sampling, the population is divided into subpopulations (strata) based on one or more classification criteria.

Question 65

The central bank of a developing country wants to effectively import the inflation experience of a developed country. The developing country's economy is most likely to experience:

Correct answer: A

A. more volatile domestic money supply. - Correct

Correct Answer Feedback: Correct. When the central bank of a developing country chooses to target an exchange rate of a developed country (which effectively imports the developed country's inflation experience), interest rates and conditions in the developing economy must adapt to accommodate this target and its interest rates and money supply can become more volatile.

B. interest rates similar to those in the United States. - Incorrect

Incorrect Answer Feedback: Incorrect. Interest rates may become more volatile when the central bank targets the exchange rate rather than the inflation rate.

C. economic growth similar to that of the United States. - Incorrect

Incorrect Answer Feedback: Incorrect. The economic growth rate of a developing country is likely to be greater than that of the developed country.

Question 66

An analyst gathers the following information (in $ millions) about a manufacturing company's finished goods inventory at 31 December of Year 1:

Cost of ending inventory	26
Net realizable value	24
Current replacement cost	22
Normal profit margin	1

If the company reports under US GAAP and uses the FIFO inventory valuation method, the carrying amount (in $ millions) of the ending inventory at 31 December of Year 1 is:

Correct answer: C

A. 22. - Incorrect

Incorrect Answer Feedback: Incorrect because this is the lower of cost and current replacement cost = $22 million. This would be based on the LIFO inventory valuation method, and without taking into account the lower limit. For inventories measured using LIFO and retail inventory methods, market value is defined as current replacement cost subject to upper and lower limits. Market value cannot exceed net realizable value (selling price less reasonably estimated costs of completion and disposal). The lower limit of market value is net realizable value less a normal profit margin. Any write-down to market value or net realizable value reduces the value of the inventory, and the loss in value (expense) is generally reflected in the income statement in cost of goods sold.

B. 23. - Incorrect

Incorrect Answer Feedback: Incorrect because this is based on the LIFO inventory valuation method, and applying the upper and lower limit test when calculating market value. For inventories measured using LIFO and retail inventory methods, market value is defined as current replacement cost subject to upper and lower limits. Market value cannot exceed net realizable value (selling price less reasonably estimated costs of completion and disposal). The lower limit of market value is net realizable value less a normal profit margin. Any write-down to market value or net realizable value reduces the value of the inventory, and the loss in value (expense) is generally reflected in the income statement in cost of goods sold. As such, current replacement cost of $22 million is subject to the upper limit (net realizable value) of $24 million, and the lower limit of net realizable value less a normal profit margin of $1 million = $23 million. Since this lower limit is greater than current replacement cost of $22 million, market value = $23 million. Carrying value as of 31 December of Year 1 will be the lower of cost $26 million or market value, or $23 million.

C. 24. - Correct

Correct Answer Feedback: Correct because for fiscal years beginning after December 15, 2016, inventories measured using other than LIFO and retail inventory methods are measured at the lower of cost or net realizable value. As such, ending inventory at 31 December of Year 1 has a cost of $26 million and a net realizable value of $24 million. As the lower of cost or net realizable value is 24, the carrying amount at 31 December Year 1 will be $24 million.

Question 67

A company that reports under IFRS shows internally generated development costs on its balance sheet. Which of the following policies should raise concern when analyzing these costs?

Correct answer: B

A. Revenue recognition - Incorrect

Incorrect Answer Feedback: Incorrect because internally generated development costs are unrelated to revenue recognition.

B. Intangibles capitalization - Correct

Correct Answer Feedback: Correct because analysts' concerns may be raised with respect to the capitalization of expenditures for intangible assets such as internally generated development costs.

C. Long-lived asset depreciation - Incorrect

Incorrect Answer Feedback: Incorrect because internally generated development costs are intangible and not likely to be capitalized as long-lived assets.

Question 68

In the event that the value of inventory declines below the carrying amount on the balance sheet, the inventory carrying amount must be written down and the reduction in value recognized as a(n):

Correct answer: A

A. expense on the income statement. - Correct

Correct Answer Feedback: Correct because in the event that the value of inventory declines below the carrying amount on the balance sheet, the inventory carrying amount must be written down to its net realizable value and the loss (reduction in value) recognized as an expense on the income statement.

B. decrease in the revaluation surplus account. - Incorrect

Incorrect Answer Feedback: Incorrect because in the event that the value of inventory declines below the carrying amount on the balance sheet, the inventory carrying amount must be written down to its net realizable value and the loss (reduction in value) recognized as an expense on the income statement. Also, the revaluation surplus account is used under the revaluation model for long-lived assets (and not inventory). Thus, IFRS allow companies to value long-lived assets either under a cost model at historical cost minus accumulated depreciation or amortisation or under a revaluation model at fair value if a revaluation initially increases the carrying amount of the asset class, the increase in the carrying amount of the asset class bypasses the income statement and goes directly to equity under the heading of revaluation surplus. Any subsequent decrease in the asset's value first decreases the revaluation surplus and then goes to income.

C. decrease in the inventory valuation allowance account. - Incorrect

Incorrect Answer Feedback: Incorrect because in the event that the value of inventory declines below the carrying amount on the balance sheet, the inventory carrying amount must be written down to its net realizable value and the loss (reduction in value) recognized as an expense on the income statement. Also, in case an inventory valuation allowance is used, its balance should increase (and not decrease) because frequently, rather than writing inventory down directly, an inventory valuation allowance account is used. The allowance account is netted with the inventory accounts to arrive at the carrying amount that appears on the balance sheet.

Question 69

In contrast to US GAAP, cash flow statements prepared under IFRS:

Correct answer: B

A. are less flexible regarding the classification of dividends paid or received. - Incorrect

Incorrect Answer Feedback: Incorrect because IFRS are more flexible than US GAAP requirements. Under IFRS, dividends paid may be classified as either an operating or a financing activity; under US GAAP, dividends paid may only be classified as a financing activity. Under IFRS, dividends received may be classified as either an operating or an investing activity; under US GAAP, dividends received may only be classified as an operating activity.

B. allow interest receipts to be classified as either operating or investing cash flows. - Correct

Correct Answer Feedback: Correct because IFRS allows interest receipts to be classified as either operating or investing activities whereas US GAAP requires interest receipts to be classified only as operating cash flows.

C. require adherence to the direct method format when reporting operating activities. - Incorrect

Incorrect Answer Feedback: Incorrect because the direct and indirect methods for formatting cash flow statements are acceptable under both US GAAP and IFRS.

Question 70

When a company's payables turnover ratio is lower compared to its peers, the company is most likely:

Correct answer: B

A. utilizing early payment discounts. - Incorrect

Incorrect Answer Feedback: Incorrect because a payables turnover ratio that is high (low days payable) relative to the industry could indicate that the company is not making full use of available credit facilities; alternatively, it could result from a company taking advantage of early payment discounts. Thus, a lower payable turnover ratio could mean the company has higher days payable and most likely is not taking advantage of early payment discounts.

B. taking advantage of lenient supplier terms. - Correct

Correct Answer Feedback: Correct because an excessively low turnover ratio (high days payable) could indicate trouble making payments on time, or alternatively, exploitation of lenient supplier terms.

C. receiving payments from customers faster than its peers. - Incorrect

Incorrect Answer Feedback: Incorrect because receiving payments from customers faster than the industry norm impacts the receivables turnover rather than the payables turnover. The number of DSO represents the elapsed time between a sale and cash collection, reflecting how fast the company collects cash from customers to whom it offers credit.

Question 71

Which of the following characteristics of a corporation most likely allows it to access capital more easily than other business structures?

Correct answer: C

A. The existence of a legal identity - Incorrect

Incorrect Answer Feedback: Incorrect because as far as the law is concerned, a corporation has many of the rights and responsibilities of an individual and can engage in many of the same activities. For example, a corporation can enter into contracts, hire employees, sue and be sued, borrow and lend money, make investments, and pay taxes. Furthermore, the separation of operating control from ownership enables the corporation to finance itself from a larger universe of potential investors who are not required to have expertise in operating the business. Thus, it is not the existence of a corporation's legal entity, but its separation between management and ownership that facilitates greater access to capital.

B. Taxation of distributions as personal income - Incorrect

Incorrect Answer Feedback: Incorrect because in many countries, a tax disadvantage is associated with the corporate business structure because shareholders must pay a tax on distributions that have already been taxed at the corporate level. Despite this disadvantage, the corporate business structure remains attractive because corporations have the potential capability to raise large amounts of capital from a disparate group of investors. While shareholders may be taxed on distributions, owners in other business structures are taxed on profits, regardless of distribution.

C. Separation between ownership and management - Correct

Correct Answer Feedback: Correct because the separation between ownership and management allows corporations to access capital more easily than other business structures because capital is the only requirement for

owners to join the business. While more expensive to form and operate than other business structures, the corporate structure is typically preferred when capital requirements for a business overwhelm what could be raised by an individual or limited number of individuals.

Question 72

An analyst gathers the following exchange rate information:

Spot rate	4.6895
1-year forward points	–12.7

The 1-year forward rate is closest to:

Correct answer: B

A. 4.67680. - Incorrect

Incorrect Answer Feedback: Incorrect because the forward points are scaled down by 1,000 instead of 10,000: 4.6895 + (–12.7/1,000) = 4.6895 – 0.0127 = 4.67680.

B. 4.68823. - Correct

Correct Answer Feedback: Correct because to convert any of these quoted forward points into a forward rate, one would divide the number of points by 10,000 (to scale down to the fourth decimal place, the last decimal place in the spot quote) and then add the result to the spot exchange rate quote. 4.6895 + (–12.7/10,000) = 4.6895 – 0.00127 = 4.68823.

C. 4.69077. - Incorrect

Incorrect Answer Feedback: Incorrect because the forward points are subtracted from the spot rate: 4.6895 – (–12.7/10,000) = 4.6895 + 0.00127 ≈ 4.69077.

Question 73

Companies most likely have the largest proportion of equity in their capital structure in the:

Correct answer: A

A. start-up stage. - Correct

Correct Answer Feedback: Correct because companies in the growth stage have a rising debt availability, while mature companies have a high debt availability. By contrast, startup companies have little or no debt availability. Thus, a startup company has the smallest amount of debt (if any) in its capital structure compared to a growth or mature company. This means that the equity portion in the capital structure for startups is higher than for growth or mature companies.

B. growth stage. - Incorrect

Incorrect Answer Feedback: Incorrect because companies in the growth stage have a rising debt availability, while mature companies have a high debt availability. By contrast, startup companies have little or no debt availability. Thus, a startup company has the smallest amount of debt (if any) in its capital structure compared to a growth or mature company. This means that the equity portion in the capital structure for startups is higher than for growth or mature companies.

C. maturity stage. - Incorrect

Incorrect Answer Feedback: Incorrect because companies in the growth stage have a rising debt availability, while mature companies have a high debt availability. By contrast, startup companies have little or no debt availability. Thus, a startup company has the smallest amount of debt (if any) in its capital structure compared to a growth or mature company. This means that the equity portion in the capital structure for startups is higher than for growth or mature companies.

Question 74

A company's capital structure is most likely to deviate from the target capital structure if:

Correct answer: C

A. flotation costs are low. - Incorrect

Incorrect Answer Feedback: Incorrect because low flotation costs do not constrain a company's ability to adjust its capital structure as frequently as needed. Flotation costs may make it impractical for a company to continually adjust its capital structure to keep it on target. Flotation costs are the costs incurred by a publicly traded company when it issues new debt or equity securities.

B. the company's debt has no secondary market. - Incorrect

Incorrect Answer Feedback: Incorrect because market-value fluctuations can cause the company's actual capital structure to deviate from the target. Conversely, if there is no secondary market for a company's debt, the actual capital structure is less likely to deviate from the target structure.

C. management actively pursues short-term market opportunities. - Correct

Correct Answer Feedback: Correct because when a company pursues short-term market opportunities, it might deviate from its target capital structure. For example, if a company has the opportunity to issue high-grade debt at attractive rates, management may choose to increase deal size and deviate from its target capital structure to exploit the short-term financing opportunity.

Question 75

An analyst gathers the following information about a company: Source of Capital Target Weight Marginal Cost of Capital Debt 20% 5% Equity 80% 10% If the interest expense is tax deductible and the company's marginal tax rate is 40%, the company's WACC is:

Correct answer: B

A. 8.4%. - Incorrect

Incorrect Answer Feedback: Incorrect because it uses WACC = w r t + w r even though, in reality, WACC = d d e e w r (1 – t) + w r . d d e e Using the provided inputs, WACC ≠ 20% × 5% × 40% + 80% × 10% = 8.4%.

B. 8.6%. - Correct

Correct Answer Feedback: Correct because WACC = w r (1 – t) + w r + w r , which, in the absence of preferred d d p p e e stock, reduces to WACC = w r (1 – t) + w r , where d d e e w = the target weight of debt, d r = the before-tax marginal cost of debt, d t = the company's marginal tax rate, w = the target weight of equity, e r = the cost of equity. e Using the provided inputs, WACC = 20% × 5% × (1 – 40%) + 80% × 10% = 8.6%.

C. 9.0%. - Incorrect

Incorrect Answer Feedback: Incorrect because it ignores the tax deductibility of debt and uses WACC = w r + d d w r even though, in reality, WACC = w r (1 – t) + w r . e e d d e e Using the provided inputs, WACC ≠ 20% × 5% + 80% × 10% = 9.0%.

Question 76

Under the revaluation model, an initial revaluation that increases the carrying value of land will most likely increase:

Correct answer: B

A. net income. - Incorrect

Incorrect Answer Feedback: Incorrect because net income will not be impacted, as the increase in the carrying amount does not go through the income statement. If a revaluation initially increases the carrying amount of the asset class, the increase in the carrying amount of the asset class bypasses the income statement and goes directly to equity under the heading of revaluation surplus. Asset revaluations that increase the carrying amount of an asset initially increase depreciation expense, total assets, and shareholders' equity.

B. shareholders' equity. - Correct

Correct Answer Feedback: Correct because if a revaluation initially increases the carrying amount of the asset class, the increase in the carrying amount of the asset class bypasses the income statement and goes directly to equity under the heading of revaluation surplus. Asset revaluations that increase the carrying amount of an asset initially increase depreciation expense, total assets, and shareholders' equity.

C. total asset turnover ratio. - Incorrect

Incorrect Answer Feedback: Incorrect because the total asset turnover is revenue divided by total assets. A revaluation increases total assets but does not change revenue. Since the denominator increases and the numerator stays the same, the total asset turnover will decrease.

Question 77

Which of the following most likely enforces financial reporting requirements?

Correct answer: A

A. Regulatory authorities - Correct

Correct Answer Feedback: Correct because regulatory authorities require publicly traded issuers to prepare financial reports in accordance with specified accounting standards and other securities laws and regulations. Although technically not a regulatory authority, IOSCO regulates a significant portion of the world's financial capital markets. To ensure consistent application of international financial standards (such as the Basel Committee on Banking Supervision's standards and IFRS), it is important to have uniform regulation and enforcement across national boundaries.

B. Standard-setting bodies - Incorrect

Incorrect Answer Feedback: Incorrect because regulatory authorities require publicly traded issuers to prepare financial reports in accordance with specified accounting standards and other securities laws and regulations.

C. Accounting standards boards - Incorrect

Incorrect Answer Feedback: Incorrect because regulatory authorities require publicly traded issuers to prepare financial reports in accordance with specified accounting standards and other securities laws and regulations.

Question 78

A bank has a stated annual interest rate of 7%. If an investor deposits ¥10,000 and earns ¥712.25 in interest over the first year, what frequency of compounding does the bank apply?

Correct answer: C

A. Quarterly - Incorrect

Incorrect Answer Feedback: Incorrect because, for quarterly compounding, m = 4 and the EAR = (1 + (0.07/4))4 − 1 = 0.071859. This EAR multiplied by ¥10,000 would result in interest earned of ¥718.59. A candidate who knows that quarterly compounding has a frequency in-between semiannual and continuous compounding only needs to do this one EAR calculation because a smaller interest payment is equivalent to a lower frequency of compounding. Therefore, semiannual compounding has to be the correct answer.

B. Continuous - Incorrect

Incorrect Answer Feedback: Incorrect because, for continuous compounding, the effective annual rate is calculated as: EAR = er s − 1, where r s is the stated annual interest rate. Therefore, EAR = e0.07 − 1 = 0.072508. This EAR multiplied by ¥10,000 would result in interest earned of ¥725.08.

C. Semiannual - Correct

Correct Answer Feedback: Correct because, for discrete compounding, the effective annual rate is calculated as: EAR = (1 + Periodic interest rate)m − 1, where m is the number of compounding periods in one year. If the compounding period is semiannual, then m = 2 and the EAR = (1 + (0.07/2))2 − 1 = 0.071225. The EAR multiplied by the original deposit is ¥10,000 × 0.071225 = ¥712.25. Therefore, if the interest received over the first year is ¥712.25, the compounding frequency is semiannual.

Question 79

An analyst gathers the following information for a company's fiscal year beginning 1 January:

Net income	$1,800,000
Dividends declared and paid on convertible preferred	$600,000
Weighted average common shares outstanding during the year	200,000
Convertible preferred shares outstanding during the year	50,000

If one preferred share can be converted into four common shares and there are no other potentially dilutive securities outstanding, reported diluted EPS for the year is:

Correct answer: B

A. $3.00. - Incorrect

Incorrect Answer Feedback: Incorrect because it subtracts Preferred dividends in the numerator of the Diluted EPS formula. If the convertible shares had been converted, there would be two effects. First, the convertible preferred securities would no longer be outstanding; instead, additional common stock would be outstanding, second, if such a conversion had taken place, the company would not have paid preferred dividends. The calculation becomes Diluted EPS = (Net income – Preferred dividends) / (Weighted average number of shares outstanding + New common shares that would have been issued at conversion); or = ($1,800,000 – $600,000) / [200,000 + (50,000 × 4)] = $1,200,000 / 400,000 = $3.00.

B. $4.50. - Correct

Correct Answer Feedback: Correct because the effect of using if-converted method would be a reported diluted EPS of $4.50. The if-converted method is based on what EPS would have been if the convertible preferred securities had been converted at the beginning of the period. If the convertible shares had been converted, there would be two effects. First, the convertible preferred securities would no longer be outstanding; instead, additional common stock would be outstanding. Thus, under the if-converted method, the weighted average number of shares outstanding would be higher than in the basic EPS calculation. Second, if such a conversion had taken place, the company would not have paid preferred dividends. Diluted EPS using the if-converted method for preferred stock is Net income/ (Weighted average number of shares outstanding + New common shares that would have been issued at conversion); or = $1,800,000 / [200,000 + (50,000 × 4)] = $1,800,000 / 400,000 = $4.50. Basic EPS = (Net income – Preferred dividends) / Weighted average number of shares outstanding = ($1,800,000 – $600,000) / 200,000 = $6.00. As Basic EPS of $6.00 is higher than diluted EPS of $4.50, the convertible preferred stock is dilutive (rather than antidilutive), and the diluted EPS of $4.50 should thus be reported.

C. $6.00. - Incorrect

Incorrect Answer Feedback: Incorrect because it calculates Basic EPS = (Net income – Preferred dividends) / Weighted average number of shares outstanding = ($1,800,000 – $600,000) / 200,000 = $6.00.

Question 80

With respect to debt securities measured at fair value through other comprehensive income:

Correct answer: C

A. both interest income and unrealized gains and losses are recognized in other comprehensive income. - Incorrect

Incorrect Answer Feedback: Incorrect because, in the case of securities classified as Measured at Fair Value through Other Comprehensive Income (IFRS), or equivalently as Available-for-Sale debt securities (US GAAP), interest income is recognized in profit and loss while unrealized gains and losses are recognized in other comprehensive income.

B. interest income is recognized in other comprehensive income while unrealized gains and losses are not recognized. - Incorrect

Incorrect Answer Feedback: Incorrect because, in the case of securities classified as Measured at Fair Value through Other Comprehensive Income (IFRS), or equivalently as Available-for-Sale debt securities (US GAAP), interest income is recognized in profit and loss while unrealized gains and losses are recognized in other comprehensive income.

C. interest income is recognized in profit and loss while unrealized gains and losses are recognized in other comprehensive income. - Correct

Correct Answer Feedback: Correct because, in the case of securities classified as Measured at Fair Value through Other Comprehensive Income (IFRS), or equivalently as Available-for-Sale debt securities (US GAAP), the income statement shows only the interest income (which is then reflected in retained earnings on the ending balance sheet). The unrealized gain does not appear on the income statement; instead, it would appear on a Statement of Comprehensive Income as Other Comprehensive Income.

Question 81

If the target used in computing the target semideviation of an asset's returns is set equal to the mean of the asset's returns, the resulting target semideviation will most likely be:

Correct answer: A

A. less than the sample standard deviation of the asset's returns. - Correct

Correct Answer Feedback: Correct because the standard deviation includes all deviations from the mean, not just those below it. Hence the target semideviation is less than the sample standard deviation since target semideviation captures only the downside risk (i.e., deviations below the target). Specifically, the target semideviation is a measure of dispersion of the observations (here, returns) below the target. To calculate a sample target semideviation, we first specify the target. After identifying observations below the target, we find the sum of the squared negative deviations from the target, divide that sum by the total number of observations in the sample minus 1, and, finally, take the square root. If the target is chosen to be the mean return of the asset, the computation described above is identical to that of the sample standard deviation, except that only observations below the mean return will be included for the target semideviation, whereas all observations will be taken for the sample standard deviation. This will result in the target semideviation being smaller than the sample standard deviation.

B. the same as the sample standard deviation of the asset's returns. - Incorrect

Incorrect Answer Feedback: Incorrect because the standard deviation includes all deviations from the mean, not just those below it. Hence the target semideviation is less than the sample standard deviation since target semideviation captures only the downside risk (i.e., deviations below the target).

C. greater than the sample standard deviation of the asset's returns. - Incorrect

Incorrect Answer Feedback: Incorrect because the standard deviation includes all deviations from the mean, not just those below it. Hence the target semideviation is less than (not greater than) the sample standard deviation since target semideviation captures only the downside risk (i.e., deviations below the target).

Question 82

A company has a financial leverage ratio of 1.5. If an initial revaluation increases the carrying amount of a class of assets, the financial leverage ratio most likely:

Correct answer: A

A. decreases. - Correct

Correct Answer Feedback: Correct because an increase in the carrying amount of depreciable long-lived assets increases total assets and shareholders' equity. Defining leverage ratio as total assets divided by shareholders' equity, increasing both the numerator (assets) and denominator (equity) by the same amount leads to a decline in the ratio. Mathematically, when a ratio is greater than one as in this case, an increase in both the numerator and denominator by the same amount leads to a decline in the ratio.

B. remains the same. - Incorrect

Incorrect Answer Feedback: Incorrect because an increase in the carrying amount of depreciable long-lived assets increases total assets and shareholders' equity. Defining leverage ratio as total assets divided by shareholders' equity, increasing both the numerator (assets) and denominator (equity) by the same amount leads to a decline in the ratio.

C. increases. - Incorrect

Incorrect Answer Feedback: Incorrect because an increase in the carrying amount of depreciable long-lived assets increases total assets and shareholders' equity. Defining leverage ratio as total assets divided by shareholders' equity, increasing both the numerator (assets) and denominator (equity) by the same amount leads to a decline in the ratio.

Question 83

Which of the following acts as an automatic stabilizer for the economy?

Correct answer: C

A. A decrease in corporate tax rates - Incorrect

Incorrect Answer Feedback: Incorrect because a decrease in corporate tax rates is a discretionary fiscal policy. Automatic stabilizers should be distinguished from discretionary fiscal policies, such as changes in government spending or tax rates, which are actively used to stabilize aggregate demand.

B. New public spending on hospitals - Incorrect

Incorrect Answer Feedback: Incorrect because new public spending on social goods and infrastructure, such as hospitals, is an example of a discretionary fiscal policy. Automatic stabilizers should be distinguished from discretionary fiscal policies, such as changes in government spending or tax rates, which are actively used to stabilize aggregate demand.

C. Government expenditure on unemployment benefits - Correct

Correct Answer Feedback: Correct because as an economy slows and unemployment rises, government spending (expenditure) on social insurance and unemployment benefits will also rise and add to aggregate demand. This is known as an automatic stabilizer.

Question 84

An analyst gathers the following closing prices of a stock: Date Closing Price ($) 1 January 30 15 January 38 The continuously compounded return for the period 1 January to 15 January is closest to:

Correct answer: B

A. 7.0%. - Incorrect

Incorrect Answer Feedback: Incorrect because this response applies the formula incorrectly and assumes the continuously compounded return is equal to: r = ln(S)/ln(S) – 1 = ln($38)/ln($30) – 1 = 1.0695 – 1 = 6.95% ≈ t, t+1 t+1 t 7.0%.

B. 23.6%. - Correct

Correct Answer Feedback: Correct because the continuously compounded return from t to t + 1 is r = ln(S /S) = ln(1 + R). t, t+1 t+1 t t, t+1 Therefore, the continuous compounded return from 1 January to 15 January is r 1, 20 = ln(S 20 /S1) = ln($38/$30) = 23.64% ≈ 23.6%.

C. 26.7%. - Incorrect

Incorrect Answer Feedback: Incorrect because this response calculates the holding period return from 1 January to 15 January. That is, S /S = 1 + R Therefore, R = S /S – 1 = $38/$30 – 1 = 26.67% ≈ 26.7%. t+1 t t, t+1. t, t+1 t+1 t

Question 85

An analyst gathers the following information (in $ millions) about a company's current fiscal year:

Net income	20
Interest expensed and paid	2
Depreciation expense	4
Taxes paid	6

The interest coverage ratio is:

Correct answer: A

A. 14. - Correct

Correct Answer Feedback: Correct because the interest coverage ratio is EBIT ÷ interest payments. EBIT is earnings before interest and taxes. Thus, EBIT = 20 + 2 + 6 = 28. Interest coverage = 28 ÷ 2 = 14.

B. 15. - Incorrect

Incorrect Answer Feedback: Incorrect because the interest coverage ratio is miscalculated as (net income + depreciation + taxes) ÷ interest payments = (20 + 4 + 6) ÷ 2 = 15.

C. 16. - Incorrect

Incorrect Answer Feedback: Incorrect because the interest coverage ratio is miscalculated as EBITDA ÷ interest payments = (20 + 2 + 4 + 6) ÷ 2 = 16.

Question 86

Which of the following best describes a reason a company would acquire the use of equipment through an operating lease?

Correct answer: B

A. To increase cash from operations - Incorrect

Incorrect Answer Feedback: Incorrect because cash from operations would be lower with an operating lease compared to purchasing the asset.

B. To take advantage of less costly financing - Correct

Correct Answer Feedback: Correct because leases can provide less costly financing. Because of the tax and economic advantages enjoyed by lessors, they are often able and willing to offer attractive lease terms resulting in less costly financing to the lessees.

C. To obtain preferential tax treatment for the lease payments compared with ownership - Incorrect

Incorrect Answer Feedback: Incorrect because lessors (the owners) are normally in a better position to take advantage of tax deductions, such as depreciation and interest.

Question 87

A characteristic of a dollarized exchange regime is:

Correct answer: A

A. imposed fiscal discipline. - Correct

Correct Answer Feedback: Correct because dollarization imposes fiscal discipline by eliminating the possibility that the central bank will be induced to monetize government debt (i.e., to persistently purchase government debt with newly created local currency).

B. the ability to earn seigniorage profits. - Incorrect

Incorrect Answer Feedback: Incorrect because one of the advantages of a CBS (Currency Board System) as opposed to dollarization is that the monetary authority can earn a profit by paying little or no interest on its liability—the monetary base—and can earn a market rate on its asset—the foreign currency reserves. This profit is called seigniorage.

C. that monetary policy can be used as a source of economic stabilization. - Incorrect

Incorrect Answer Feedback: Incorrect because for countries with a history of fiscal excess or lack of monetary discipline, dollarizing the economy can facilitate growth of international trade and capital flows if it creates an expectation of economic and financial stability. In the process, however, it removes another potential source of stabilization—domestic monetary policy. Thus, as a potential source of stabilization is removed, flexibility decreases and does not increase.

Question 88

An analyst gathers the following information about a simple linear regression:

Intercept	1.0
Slope coefficient	1.5
Standard error of the regression	0.5

If the value of the independent variable is 2.0, the value of the dependent variable predicted by the regression is closest to:

Correct answer: B

A. 3.5. - Incorrect

Incorrect Answer Feedback: Incorrect because it interchanges the slope coefficient with the intercept, and thus calculates the forecast value of the dependent variable $\hat{Y}$ = 1.5 + 1.0(2.0) = 3.5. f

B. 4.0. - Correct

Correct Answer Feedback: Correct because a forecasted value of the dependent variable, $\hat{Y}$ is determined using f the estimated intercept and slope, as well as the expected or forecasted independent variable, X : $\hat{Y}$ = b + b X , f f 0 1 f where b = intercept = 1.0, b = slope coefficient = 1.5, and X = expected value of the independent variable = 2.0. 0 1 f Thus, forecast value of the dependent variable $\hat{Y}$ = 1.0 + 1.5(2.0) = 4.0. f

C. 4.5. - Incorrect

Incorrect Answer Feedback: Incorrect because it wrongly adds the residual, and thus calculates the forecast value of the dependent variable as $\hat{Y}$ = 1.0 + 1.5(2.0) + 0.5 = 4.5. The residual for the i observation, Y , is how much the f th i observed value of Y i differs from the estimated $\hat{Y}$ i using the regression line.

Question 89

All else being equal, in periods of decreasing inventory unit costs and constant inventory quantities, using the FIFO inventory valuation method results in:

Correct answer: B

A. lower gross profit and lower inventory turnover than using the LIFO inventory valuation method. - Incorrect

Incorrect Answer Feedback: Incorrect because when using FIFO, cost of goods sold will be higher than using LIFO, and gross profit (revenue cost of goods sold) will be lower. Inventory turnover ratio = Cost of goods sold / Average inventory, as the numerator is higher and denominator lower, the inventory turnover ratio using the FIFO will be higher (not lower) than using LIFO.

B. lower gross profit and higher inventory turnover than using the LIFO inventory valuation method. - Correct

Correct Answer Feedback: Correct because using FIFO in periods of declining prices, the costs assigned to the units in ending inventory are lower than the costs assigned to the units sold. Conversely, (using LIFO) in periods of declining prices, the costs assigned to the units in ending inventory are higher than the costs assigned to the units sold. Therefore, when using FIFO, cost of goods sold will be higher than using LIFO, and accordingly, gross profit (revenue cost of goods sold) will be lower. Inventory turnover ratio = Cost of goods sold / Average inventory, as the numerator is higher and denominator lower, the inventory turnover ratio using FIFO will be higher than using LIFO.

C. higher gross profit and higher inventory turnover than using the LIFO inventory valuation method. - Incorrect

Incorrect Answer Feedback: Incorrect because when using FIFO cost of goods sold will be higher than with the LIFO-method, and the gross profit (revenue cost of goods sold) will be lower (not higher). Inventory turnover ratio = Cost of goods sold / Average inventory, as the numerator is higher and denominator lower, the inventory turnover ratio using FIFO will be higher than using LIFO.

Question 90

The structural deficit is equal to the budget deficit:

Correct answer: B

A. adjusted for inflation. - Incorrect

Incorrect Answer Feedback: Incorrect because the structural deficit makes no adjustment for inflation.

B. that would exist at full employment. - Correct

Correct Answer Feedback: Correct because the structural deficit is the deficit that would exist if the economy was at full employment (or full potential output). Economists often consider the structural deficit as an indicator of the fiscal policy stance.

C. excluding the impact of automatic stabilizers. - Incorrect

Incorrect Answer Feedback: Incorrect because the structural deficit includes (rather than excludes) the impact of automatic stabilizers on the budget assuming full employment.